NATIONAL ECONOMICS UNIVERSITY · AEP · PROJECT FINANCE

IBRD



and its Development Project Financing Activities in Vietnam

GROUP 6

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Class: Investment Economics 65

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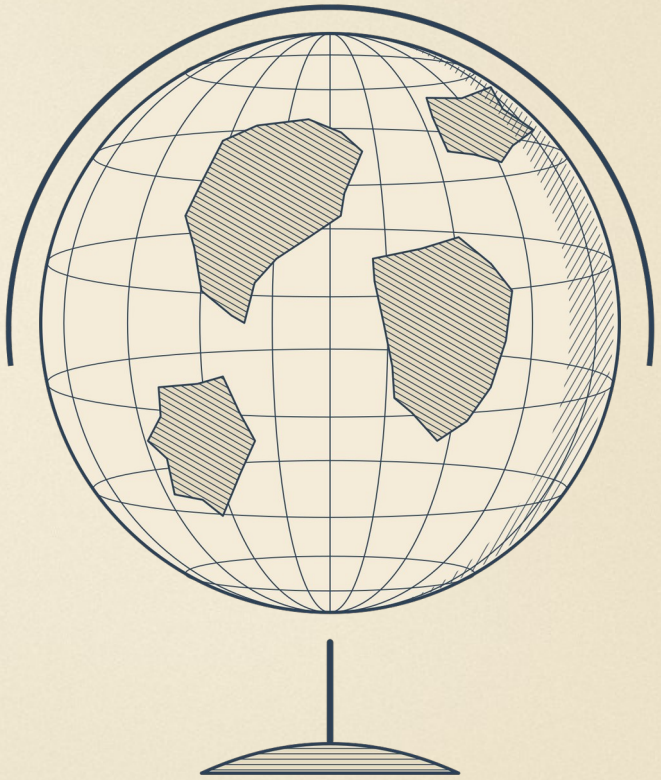
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INTRO

INTRODUCTION

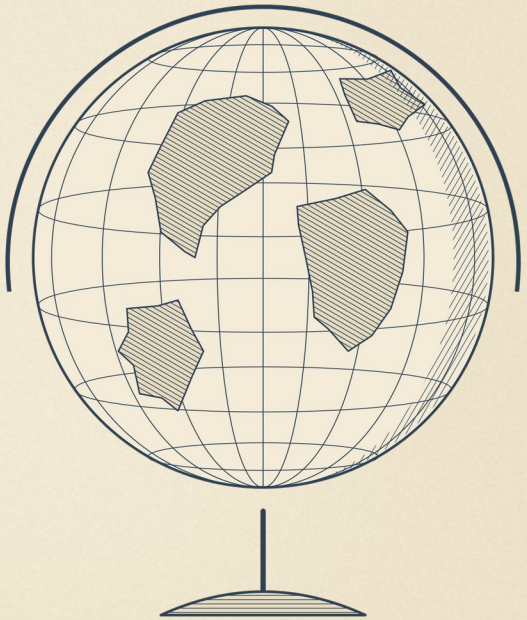
Why the IBRD matters for Vietnam after IDA



The role of multilateral development finance

Paper § Introduction · 1.1 · p. 4

- **Funding gap:** long-term investment needs far exceed domestic resources
- **Costly markets:** international borrowing is costly, short-term or unavailable
- **MDB advantage:** cheap funds passed on as longer maturities, lower rates
- **Crisis role:** MDBs expanded lending in 2008 and COVID-19
- **Beyond finance:** co-financing, guarantees, appraisal, technical assistance, standards



INTRO

Vietnam's shift from IDA to IBRD

Paper § Introduction · 1.2 · p. 4

2007

Bank declares Vietnam IBRD-eligible

December 2009

First IBRD loan: US$500 million Public Investment Reform [1; 2]

July 2017

Graduates from IDA; no more regular IDA credits

2018 →

IBRD and non-concessional IDA only; IDA18 transitional support (FY18–20) [3]

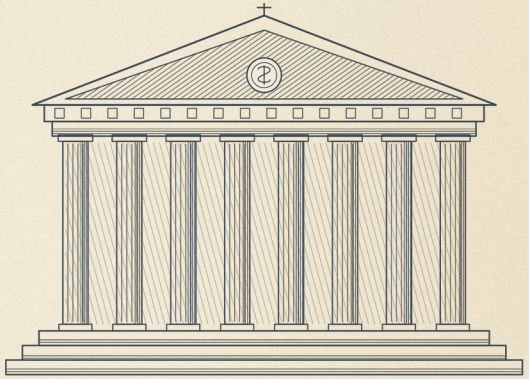
July 2026

Reclassified as an upper-middle-income economy [4]

Why the IBRD matters now

Paper § Introduction · 1.2 · p. 5

- **Main source:** the IBRD is now Vietnam's main source of World Bank financing
- **Middle path:** dearer than IDA credits, but cheaper and longer-term than most commercial loans
- **Growing needs:** official financing alone will not be enough; capital markets at higher cost [3]
- **Careful choices:** higher costs mean projects must be chosen and managed more carefully
- **Beyond money:** appraisal, technical advice and international standards



Research problem and four questions

Paper § Introduction · 2 · p. 5–6

IBRD loans have different terms and procedures from the concessional credits Vietnam knew.

Q1

What is the IBRD, and how was it formed and developed?

Q2

How is the IBRD organized and funded, and on what terms does it lend?

Q3

How does the IBRD support project financing through financial, technical and training assistance?

Q4

What results and limitations have selected IBRD-supported projects in Vietnam shown, and what lessons follow?

Research objectives

Paper § Introduction · 3 · p. 6–7

3.1 Mechanisms

How the IBRD raises funds (member capital, bonds), lends (IPF, DPF, PforR, guarantees) and runs the project cycle with borrowers and co-financiers

3.2 Practice in Vietnam

Transmission Efficiency Project (2015–2021), fully IBRD-financed; judged on relevance, effectiveness, efficiency, sustainability

Research methodology

Paper § Introduction · 4 · p. 7–8

- **Qualitative approach:** literature review combined with case study analysis, mainly secondary data
- **Sources:** World Bank reports and documents; Vietnamese government and ministry documents
- **Case study:** TEP planned targets vs actual results, on the four criteria of Section 3.2
- **Reducing bias:** World Bank data checked against IEG and Vietnamese government sources
- **Limits:** no field surveys or interviews; some data from World Bank's own reports



Research scope

Paper § Introduction · 5 · p. 8

Subject

The IBRD and its project financing; IDA, IFC, MIGA only for comparison

Content

Formation, funding, instruments, project cycle, financial, technical and training support

Space

Vietnam; international examples only to explain how the IBRD works

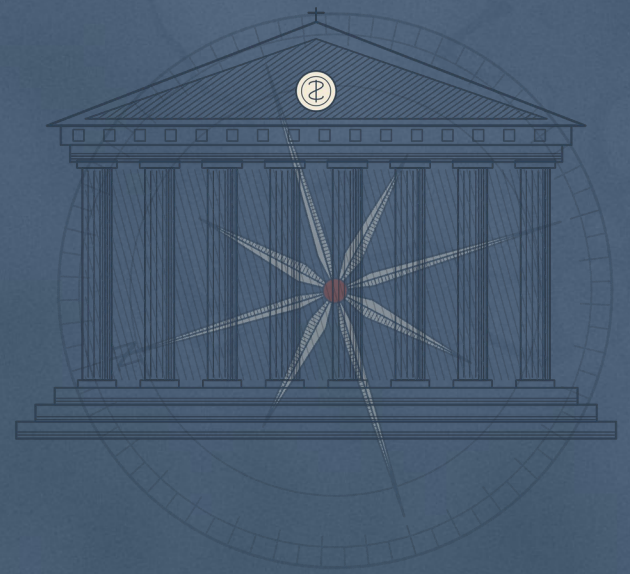
Time

2014 to the present, with special attention to the years after 2017

B·ANK

OVERVIEW OF THE IBRD

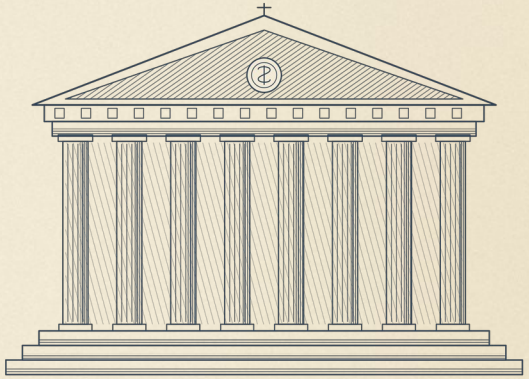
Chapter 1



Definition, mission and borrowers

Paper § 1.1.1 · p. 10

- **Cooperative:** a global development cooperative owned by 189 member countries [7]
- **World Bank:** one of five World Bank Group institutions; with IDA forms the World Bank [7]
- **Not profit-maximizing:** raises funds on capital markets and lends for development purposes
- **Mission:** end extreme poverty and boost shared prosperity on a livable planet; jobs central
- **Borrowers:** middle-income and creditworthy poorer countries, usually governments



The five institutions (1/2)

Paper § 1.1.2 · p. 10–11

Table 1. The five institutions of the World Bank Group

Institution	Year founded	Main clients
IBRD	1944	Governments of middle-income and creditworthy poorer countries
IDA	1960	Governments of the poorest countries
IFC	1956	Private enterprises in developing countries
MIGA	1988	Foreign investors and lenders
ICSID	1966	Governments and foreign investors

Source: Authors' compilation from [7] and [8].

The five institutions (2/2)

Paper § 1.1.2 · p. 11

Table 1. The five institutions of the World Bank Group

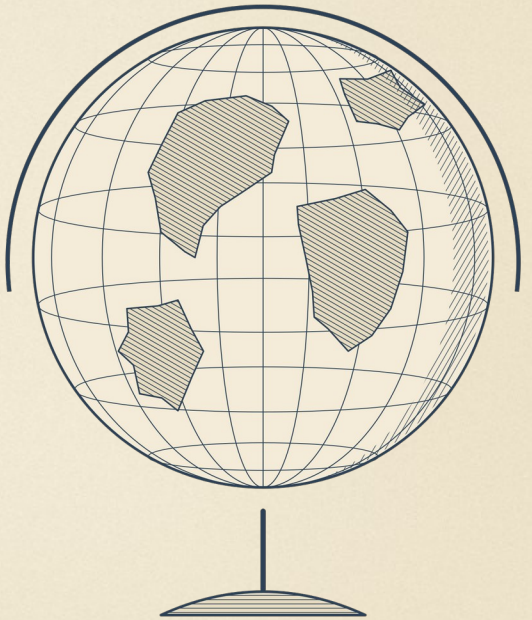
Institution	Main activities	Source of funds
IBRD	Loans, guarantees, risk management, advisory services	Bonds on international capital markets, member capital
IDA	Grants and very low-interest or interest-free loans	Contributions from donor countries
IFC	Loans, equity investment, advisory services	Own capital and market borrowing
MIGA	Insurance against political risks such as war or expropriation	Member capital and premiums
ICSID	Settling investment disputes through arbitration and conciliation	Contributions from the World Bank and fees

Source: Authors' compilation from [7] and [8].

How the IBRD differs

Paper § 1.1.2 · p. 10–12

- **Oldest and largest:** founded in 1944; the largest development bank in the world
- **IBRD vs IDA:** market-based interest rates vs much cheaper, donor-funded terms
- **IBRD vs IFC:** governments or guaranteed entities vs private companies without guarantee
- **MIGA and ICSID:** no direct finance; reduce investor risk and settle disputes
- **Main channel:** public financing to middle-income countries, hence its importance for Vietnam



History in four stages

Paper § 1.2 · p. 12–13

1944–1950s · Reconstruction

Bretton Woods, July 1944; first loan US$250 million to France in 1947 [9]; Marshall Plan turns focus to developing countries [8]

1950s–1970s · Development

Power, roads, railways, irrigation; IFC 1956, IDA 1960; McNamara era poverty focus [8]

1980s–1990s · Crisis and reform

Structural adjustment lending after the debt crisis; then governance, anti-corruption, safeguards

2000–present · Global goals

Counter-cyclical lending in 2008 and COVID-19; 2013 twin goals; livable planet, jobs [8]

Governance: three levels

Paper § 1.3.1 · p. 13–14

Board of Governors

Highest body; one Governor per member; meets once a year; admits members, changes capital

Board of Executive Directors

President and 25 Executive Directors; meets several times a week; approves loans, budget

President

Chairs the Board, leads the Group; five-year term; Ajay Banga since 2 June 2023 [10]

Voting power follows shares

Paper § 1.3.2 · p. 14–15

15–16%
United States share of votes

85%
majority for amending the Articles

0.21%
Vietnam's votes, April 2026 [11]

- **One share, one vote:** basic votes shared equally plus one vote per share held
- **Effective veto:** the United States can block decisions needing an 85 percent majority
- **Reforms:** 2008–2010 reforms raised basic votes, shifting power to developing and transition countries
- **Vietnam:** votes through a constituency sharing one Executive Director

Source of funds

Paper § 1.3.3 · p. 15–16

Member capital

Small paid-in share; callable capital never called; 2018 capital increase [12]

Bond issuance

Largest source; AAA rating for decades; sustainable and green bonds [13]

IBRD

Financial intermediary between global markets and member countries

Loans

Long maturities, reasonable costs; repayments recycled into new loans

- **Versus IDA:** IDA depends on donations; the IBRD funds itself through the market
- **New tools:** hybrid capital and shareholder guarantees

Three lending instruments

Paper § 1.4.1 · p. 16–17

Under IPF the IBRD pays for inputs; under DPF, for reforms; under PforR, for results.

IPF

Ring-fenced activities; disbursed as eligible expenditures are incurred [14]; TEP and CCSEP

DPF

Reforms; prior actions before approval; funds to the budget [14]; Vietnam's first IBRD loan [2]

PforR

Since 2012, third instrument since 1944 [15]; disbursed on verified DLIs [14]

Instruments compared

Paper § 1.4.1 · p. 17

Table 2. The IBRD's three lending instruments

Instrument	What it finances	Disbursed against	Best suited to
Investment Project Financing (IPF)	Ring-fenced project activities: works, goods, consulting services	Eligible expenditures actually incurred	Infrastructure and other projects with a defined scope
Development Policy Financing (DPF)	A program of policy and institutional actions	Completion of agreed prior actions	Sector or economy-wide reforms; budget support
Program-for-Results (PforR)	Part of a government's own expenditure program	Verified achievement of Disbursement-Linked Indicators	Programs where results can be measured and verified

Source: Authors' compilation from Wes (2023) and Gelb et al. (2016).

Loan terms: price (1/2)

Paper § 1.4.2 · p. 17–18

- **IBRD Flexible Loan:** leading product for public borrowers in middle-income countries [16]
- **Three cost parts:** interest rate, front-end fee and commitment fee [16]
- **Interest:** reference rate plus spread; SOFR replaced LIBOR for US dollar loans [17]
- **Spread:** contractual spread plus maturity premium; fixed-spread option suspended in 2021 [17]
- **Commitment fee:** slow disbursement raises the effective cost of the loan



Loan terms: maturity (2/2)

Paper § 1.4.2 · p. 18

- **2014 extension:** maximum final maturity 30 → 35 years; average maturity 18 → 20 years [18]
- **Up to 50 years:** final maturity for some projects [19]
- **Short Maturity Loan:** October 2024; 7-year final maturity, 20-basis-point spread discount [20]
- **TEP:** 26-year maturity with a 10-year grace period [21]
- **CCSEP:** IBRD 29 years, 10-year grace; IDA credit 25 years, 5-year grace



Main terms of the IBRD Flexible Loan

Paper § 1.4.2 · p. 18

Table 3. Main terms of the IBRD Flexible Loan

Term	Current setting	Source
Interest rate	Reference rate (SOFR for USD) + variable spread	World Bank Treasury (2020)
Final maturity	Up to 35 years; up to 50 years for some projects	World Bank (2014b); IBRD (2025)
Average maturity	Up to 20 years	World Bank (2014b)
Short Maturity Loan	7-year final maturity, 20 bps spread discount	World Bank Treasury (n.d.-b)
Front-end fee	0.25% of the committed amount, charged once	World Bank Treasury (n.d.-a)
Commitment fee	0.25% a year on the undisbursed balance, from 60 days after signing	World Bank Treasury (n.d.-a)

Note: Terms are reviewed annually and may change; figures are as at October 2026.

Safeguards and procurement

Paper § 1.4.3 · p. 19–20

- **ESF:** approved 4 August 2016; applies to IPF initiated on or after 1 October 2018 [22]
- **Older policies:** earlier projects keep Safeguard Policies (OP 4.12); parallel about seven years [23]
- **TEP and CCSEP:** prepared before 2018, so followed the Safeguard Policies
- **Procurement Framework:** concept note on or after 1 July 2016 [24]; PPSD for CCSEP
- **Stricter rules:** gaps with domestic land rules cause delays or, in Nha Trang, lost financing



Ten Environmental and Social Standards

Paper § 1.4.3 · p. 19

The ESF shifts more responsibility to the borrower [22].

ESS1: Assessment and Management of Environmental and Social Risks and Impacts

ESS2: Labor and Working Conditions

ESS3: Resource Efficiency and Pollution Prevention and Management

ESS4: Community Health and Safety

ESS5: Land Acquisition, Restrictions on Land Use and Involuntary Resettlement

ESS6: Biodiversity Conservation and Sustainable Management of Living Natural Resources

ESS7: Indigenous Peoples

ESS8: Cultural Heritage

ESS9: Financial Intermediaries

ESS10: Stakeholder Engagement and Information Disclosure

SUPPORT

HOW THE IBRD SUPPORTS PROJECT FINANCING

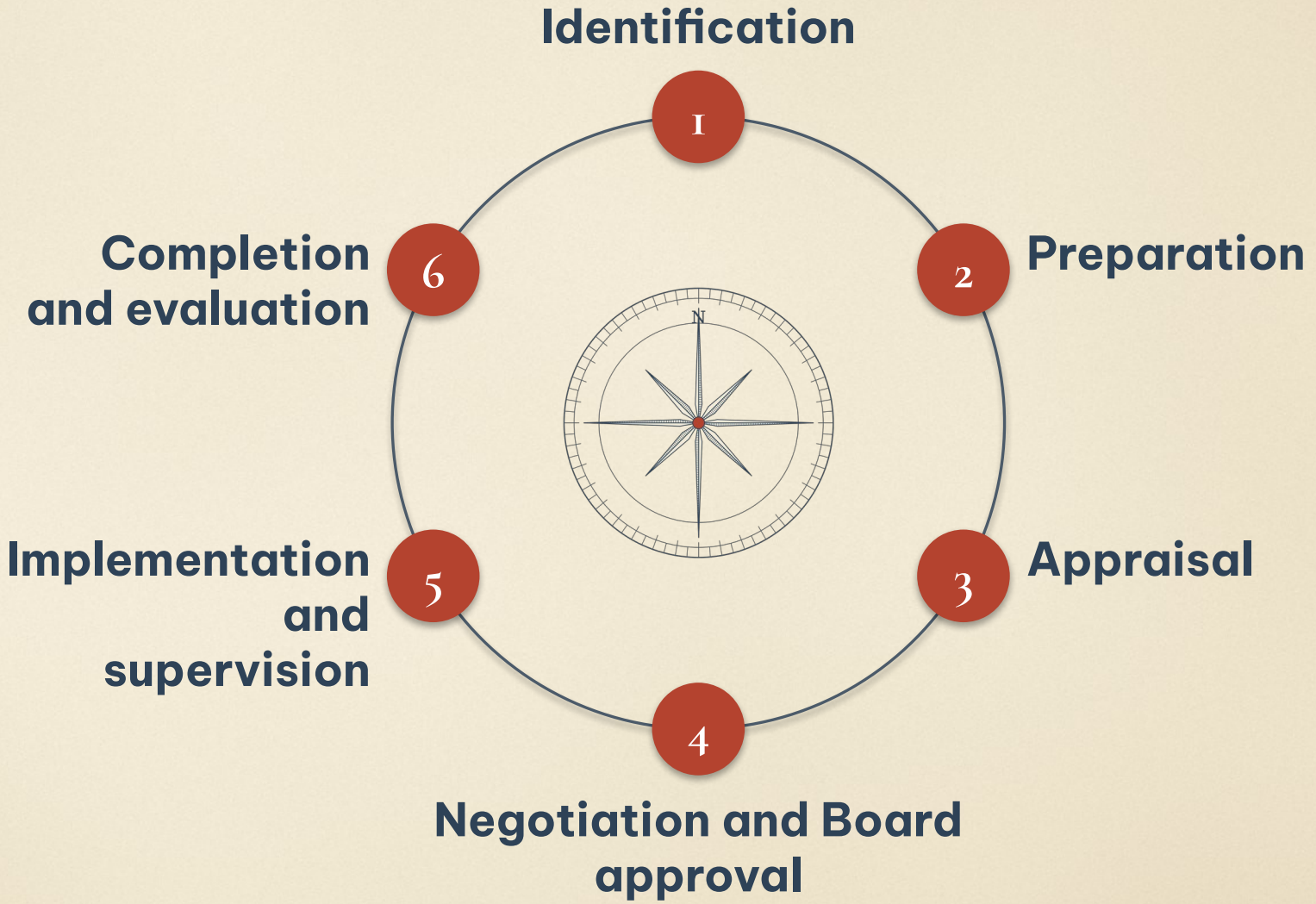
Chapter 2



The six-stage project cycle

Paper § 2.1.1 · p. 21

The borrower owns and implements; the Bank advises, appraises, finances and supervises [25].



Stages of the project cycle (1/2)

Paper § 2.1.1 · p. 21

Table 4. Stages of the World Bank project cycle

Stage	Main activities	Lead role	Key document
1. Identification	Bank and government agree on a project concept consistent with the Country Partnership Framework	Borrower and Bank	Project Concept Note, Project Information Document
2. Preparation	Feasibility studies, technical design, environmental and social instruments, procurement plan	Borrower, with Bank advice	Feasibility study, ESIA, resettlement plan
3. Appraisal	Bank reviews technical, economic, financial, institutional and E&S aspects	Bank	Project Appraisal Document (PAD)

Source: Authors' compilation from [25].

Stages of the project cycle (2/2)

Paper § 2.1.1 · p. 21

Table 4. Stages of the World Bank project cycle

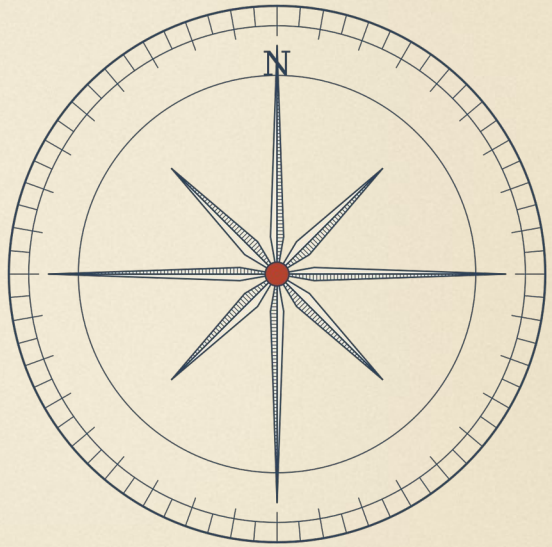
Stage	Main activities	Lead role	Key document
4. Negotiation and Board approval	Legal agreements negotiated; Board approves; loan signed and declared effective	Borrower and Bank	Loan Agreement
5. Implementation and supervision	Borrower carries out the project; Bank supervises and may restructure	Borrower; Bank supervises	Implementation Status and Results Report (ISR)
6. Completion and evaluation	Results assessed; lessons recorded; independent validation	Bank, then IEG	Implementation Completion and Results Report (ICR)

Source: Authors' compilation from [25].

The cycle does not end at approval

Paper § 2.1.1 · p. 22

- **Restructuring:** TEP restructured in 2019 and extended by two years
- **Cancellation:** CCSEP restructured in 2022; about US$45.6 million of loan funds cancelled
- **Two systems:** domestic approvals, counterpart funds and on-lending run alongside each stage
- **Joint delays:** CCSEP became effective about five and a half months later than planned



Four disbursement methods

Paper § 2.1.2 · p. 22

Table 5. IBRD disbursement methods for investment projects

Method	How it works	Typical use
Advance	Bank deposits funds in a designated account; borrower pays eligible expenses, documents them later	Many small and recurring payments
Reimbursement	Borrower pays first from its own funds; the Bank then refunds eligible expenditures	Expenses the borrower can pre-finance
Direct payment	Bank pays a supplier, contractor or consultant directly at the borrower's request	Large contract payments
Special commitment	Bank commits to pay a third party under a letter of credit opened by a commercial bank	Imported goods and equipment

Source: Authors' compilation from [26;27].

Counterpart funding as the constraint

Paper § 2.1.2 · p. 23

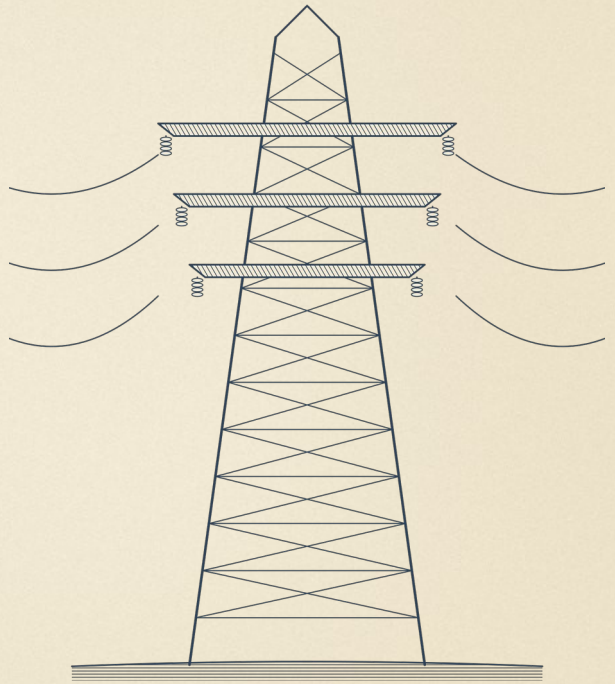
- **Documentation:** each withdrawal documented; deadline usually four months after closing [26]
- **Counterpart share:** CCSEP funds covered land, resettlement, staff, operating costs, training
- **TEP:** NPT provided US$231.25 million of the planned US$731.25 million [21]
- **Binding constraint:** CCSEP allocations began July 2019; no disbursement in 2017 and 2018
- **Real debt:** where loans are on-lent, provinces take on real debt obligations



Instruments in practice: IPF and PforR

Paper § 2.1.3 · p. 23–24

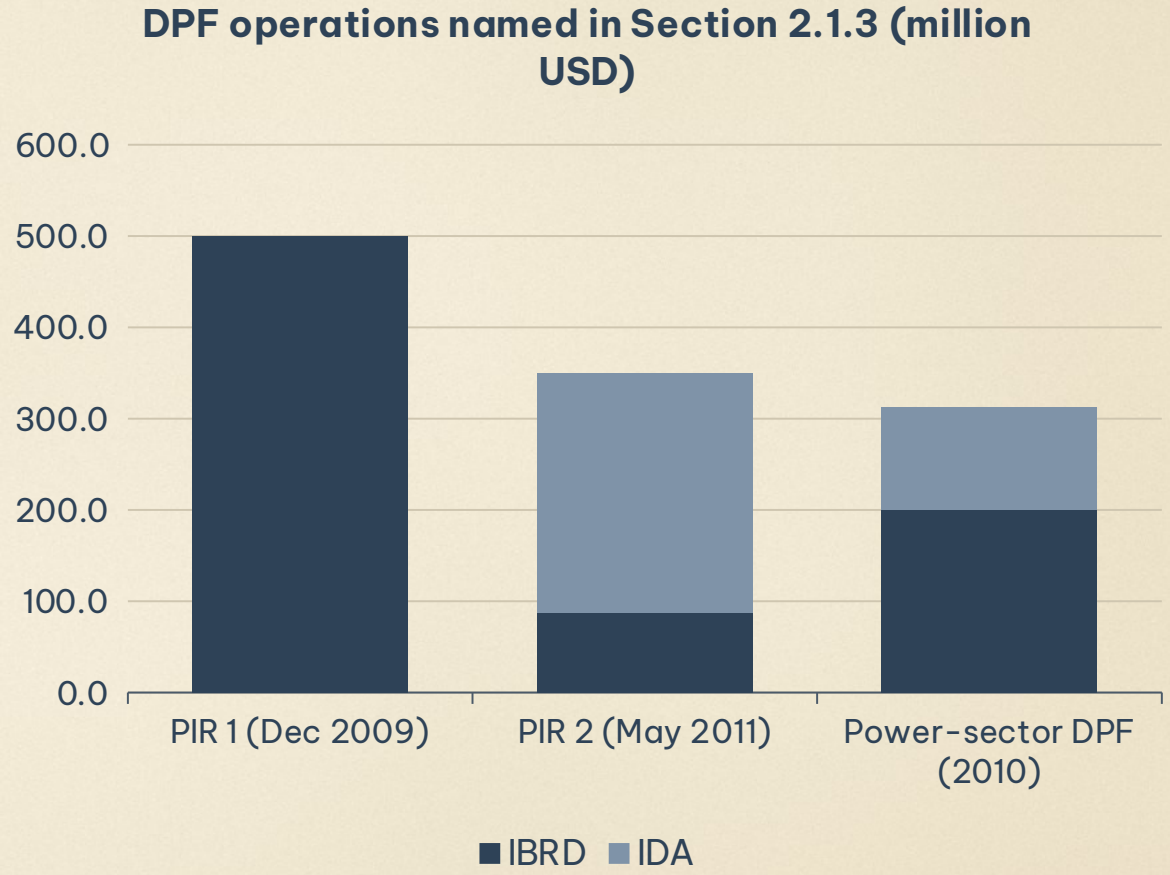
- **IPF:** components, results framework, implementing agency; funds follow contract progress
- **TEP model:** three components via NPT boards; land or bidding delays slow funds
- **PforR:** funds released only after verified Disbursement-Linked Indicators
- **IEG on DLIs:** choice is critical; monitoring should not focus on DLIs alone [32]
- **For Vietnam:** results-based design shifts responsibility, and risk, to domestic agencies



DPF in Vietnam: policy matrix to budget

Paper § 2.1.3 · p. 24

- **PIR 1:** US$500 million IBRD, December 2009 [2]
- **PIR 2:** May 2011; IBRD US$87.3 million, IDA US$262.7 million [28]
- **Aims:** investment cycle; legal basis for public-private partnerships [29; 30]
- **Power sector:** 2010; IBRD US$200 million, IDA US$111.8 million [31]

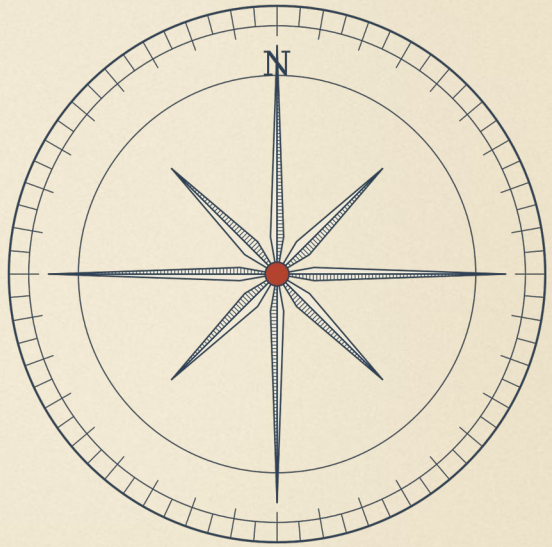


Data: Section 2.1.3 of the paper ([2], [28], [31]).

Technical support: preparation

Paper § 2.2.1 · p. 24–25

- **Task team:** technical, financial, procurement and safeguard specialists advise the borrower
- **Viability check:** TEP appraisal estimated an EIRR of 31.4%
- **E&S instruments:** CCSEP: an ESIA per city, one resettlement framework [33]
- **Preparation Advance:** finances preparation; refinanced from the loan [27]
- **Quality matters:** better TEP smart-grid preparation would have avoided the extension

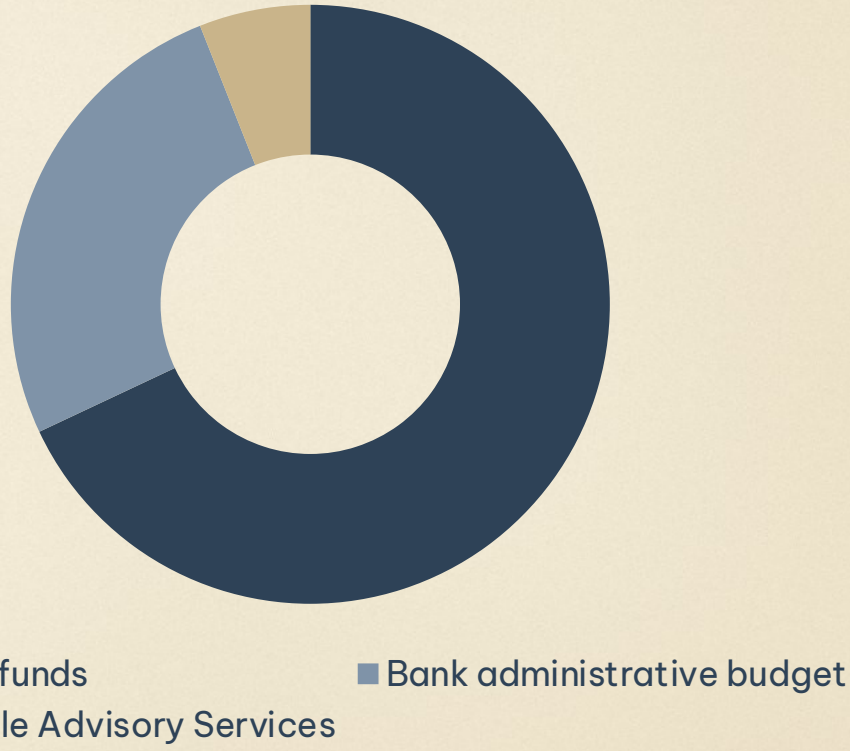


Advisory Services and Analytics

Paper § 2.2.2 · p. 25

- **ASA:** reports, policy notes, advice, workshops [34]
- **2023:** US$991 million disbursed [35]
- **RAS:** client-paid [34]; mainly middle- and high-income countries [36]
- **Vietnam:** PIR dialogue [2]; PPIAF US$350,000 and GIZ for CCSEP

Analytical and advisory disbursements, 2023 (US$991 million)



Data: Section 2.2.2 of the paper ([35]).

Monitoring and evaluation: three levels

Paper § 2.2.3 · p. 26

CCSEP results framework: about 290,000 beneficiaries, 256,000 sewer connections, 100% cost recovery.

Supervision

Regular ISRs rate progress to the PDO and implementation (World Bank, n.d.-c)

Completion

ICR at closing compares results with targets

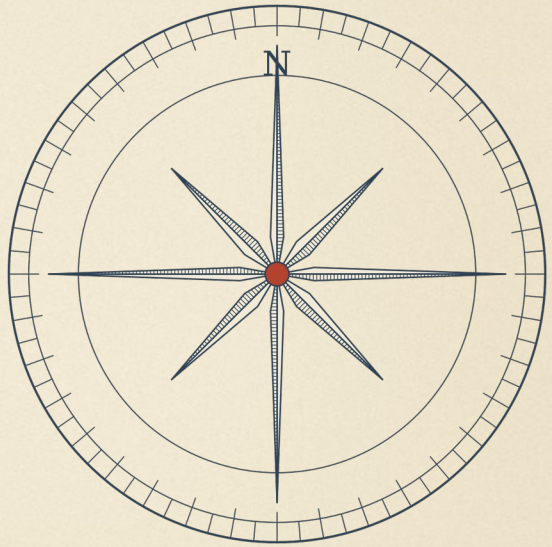
Independent evaluation

IEG validates the ICR; PPAR for selected projects

What M&E shows and its limits

Paper § 2.2.3 · p. 26

- **TEP PPAR:** outcome highly satisfactory, Bank performance satisfactory, M&E quality substantial [37]
- **Early warning:** in 2022, CCSEP's likelihood of achieving its PDO was downgraded to moderately unsatisfactory
- **Attribution:** system-wide indicators such as transmission losses are not the project alone
- **No ICR:** for CCSEP, the assessment must rely on interim reports



Training project management units

Paper § 2.3.1 · p. 27

- **PMUs:** TEP used NPT's northern, central and southern boards; CCSEP one PMU per province
- **Training:** project and financial management, procurement and safeguards
- **Open Learning Campus:** orientation courses from Bank expectations to M&E [38]
- **Staff continuity:** the new PMU in Phan Rang drew 10 of its 12 staff from other ODA units
- **Still weak:** PMU capacity remained a main cause of CCSEP delay



Knowledge transfer by doing

Paper § 2.3.2 · p. 27–28

- **Learning by doing:** staff apply Bank rules on real contracts; Bank specialists review key steps
- **MOOC:** 2014 public procurement course, more than 540 certified learners [39]
- **E-procurement:** certification after an examination [40]
- **TEP:** NPT boards built procurement, financial and safeguard capabilities [37]
- **Harder to transfer:** in Nha Trang, local compensation rules clashed with Bank standards



Institutional reform in the two cases

Paper § 2.3.3 · p. 28

Table 6. Institutional reform activities in the two case studies

Project	Reform activity	Position at the latest report
TEP	Asset management system for NPT	Fully operational; used for investment and maintenance decisions
TEP	Cost-reflective transmission tariff, IFRS reporting, testing laboratory	Carried out mainly with NPT/EVN funds
CCSEP	Public Service Management Units in each city	Established
CCSEP	Wastewater tariff roadmaps, household connection policies	Approved or issued; implementation varies by city
CCSEP	Performance-based service contracts	Largely not yet in use, except at the Nha Trang treatment plant

Source: Sections 3.2.3 and 3.3.3, based on World Bank (2022a, 2022b, 2022c, 2023).

Reform depends on the borrower

Paper § 2.3.3 · p. 28

5.50
US$ million from NPT

5.74
US$ million, TEP capacity-building cost

0.24
US$ million from the IBRD

- **National level:** the PIR series strengthened selection and implementation of public investment [2]
- **CCSEP:** all of Component 4 financed by counterpart funds; many reforms stopped at setup
- **Lesson:** the IBRD can design and advise; the borrower must fund and sustain reform

Three forms of support across the cycle

Paper § 2.4 · p. 29

Table 7. The three forms of IBRD support across the project cycle

Stage	Financial support	Technical support	Training and capacity building
Preparation and appraisal	Loan size, instrument and terms agreed; Project Preparation Advance if needed	Feasibility, economic analysis, safeguard instruments, results framework	Assessment of the implementing agency's capacity
Implementation	Disbursement against eligible expenditures or results	Supervision, ISRs, restructuring when needed	PMU training in procurement, financial management and safeguards
Completion and after	Loan repayment; savings cancelled	ICR and IEG evaluation; lessons for new projects	Systems and institutions left in place (e.g. TEP's asset management system)

Source: Authors' synthesis of Sections 2.1–2.3.

One package, one dependency

Paper § 2.4 · p. 29–30

The package works only when domestic systems are ready to absorb it.

Money gives weight to advice

Standards are adopted when they are loan conditions

Advice protects the money

Appraisal and supervision reduce the risk of wasted funds

Training protects results

Assets work only if local institutions run them

CASES

THE IBRD AND SELECTED PROJECTS IN VIETNAM

Chapter 3



Vietnam and the World Bank since 1993

Paper § 3.1 · 3.1.1 · p. 31–32

October 1993

Lending resumes; IDA credits: approximately USD 70 million primary education, USD 158.5 million highways [45; 46]

1994

Resident office opens in Hanoi, alongside Đổi Mới reforms [45; 46]

7 August 2014

TEP IBRD loan approved, almost three years before graduation [44; 41]

1 July 2017

IDA graduation; IDA18 transitional SDR 1.593 billion [3]

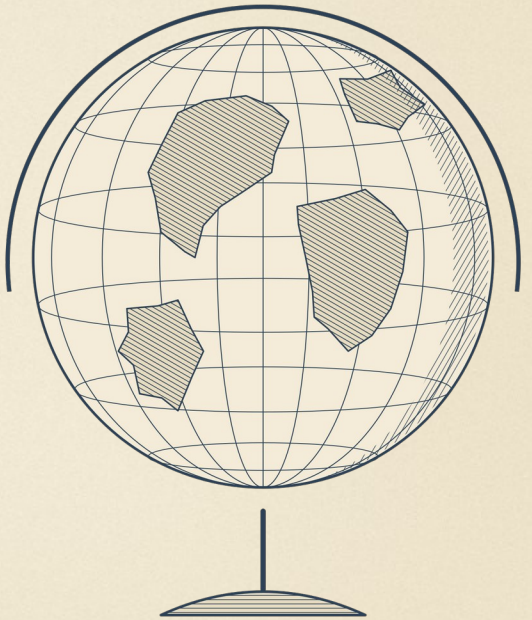
July 2026

Upper-middle-income reclassification, distinct from graduation [4]

A shift in lending mix

Paper § 3.1.1 · 3.1.2 · p. 31–32

- **Planned vs actual:** appraisal figures are plans; closing amounts are reported spending [44; 41; 37]
- **Umbrella term:** "World Bank financing" may be IDA or IBRD; check legal documents
- **Market pricing:** debt capacity, selection, returns and fiscal risk matter more
- **Coexistence:** IBRD-financed TEP ran alongside IDA before 2017 [44; 41]
- **Not substitution:** graduation shifted lending mix and conditions



A late IDA project: SAHEP (2017)

Paper § 3.1.3 · p. 32

- **Approval:** SAHEP (P156849) approved by the Board on 15 May 2017 [47]
- **IDA credit:** SDR 114.3 million, equivalent to USD 155 million at appraisal [47]
- **Cost:** USD 174.60 million total, including USD 19.60 million counterpart [47]
- **Caution:** illustrative of the late IDA pipeline, not proof IDA stopped in July 2017
- **Comparison:** institutional only; outputs not comparable with TEP's indicators



TEP and SAHEP at appraisal (1/2)

Paper § 3.1.3 · p. 33

Table 8. Selected project financing characteristics at appraisal: TEP and SAHEP

Indicator	Transmission Efficiency Project (TEP)	Support for Autonomous Higher Education Project (SAHEP)
World Bank project ID	P131558	P156849
Approval date	7 August 2014	15 May 2017
Financing institution	IBRD (loan 8417-VN)	IDA (credit 6036-VN)
Primary sector	Electricity transmission	Higher education

Source: Authors' compilation from World Bank (2014, 2017), project appraisal documents.

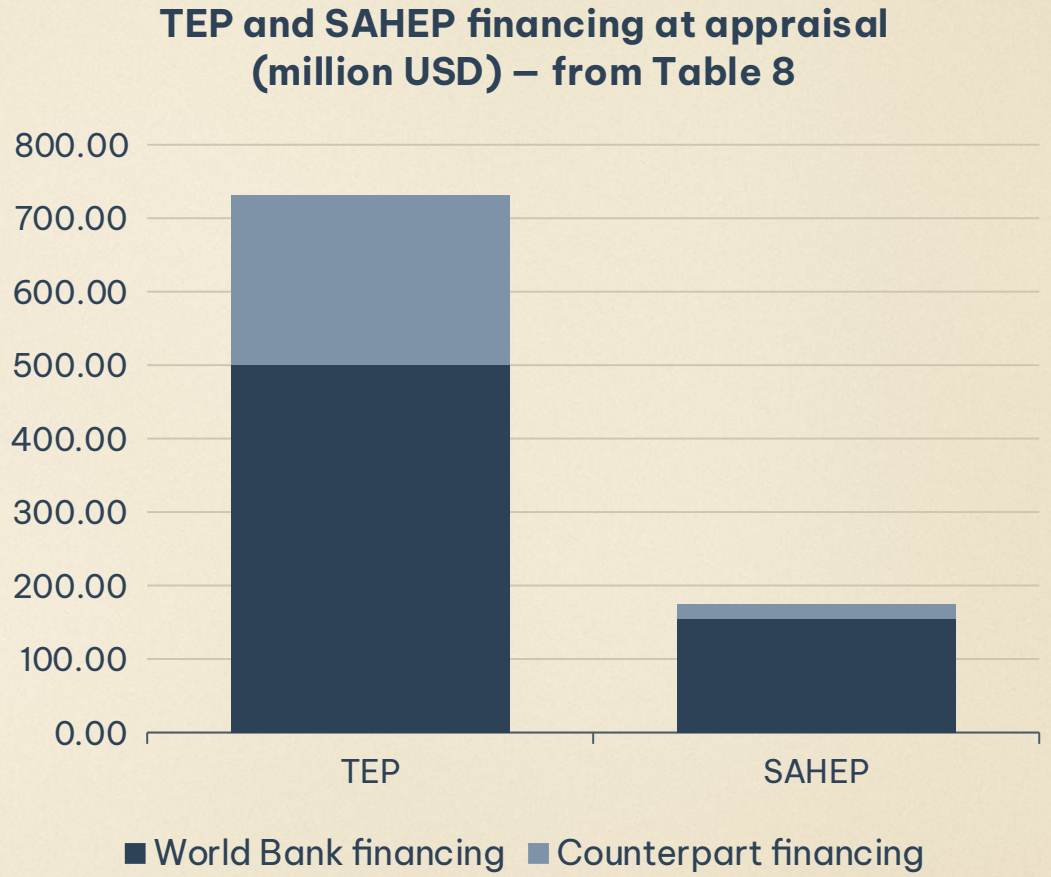
TEP and SAHEP at appraisal (2/2)

Paper § 3.1.3 · p. 33

Table 8. Selected project financing characteristics at appraisal: TEP and SAHEP

Indicator	Transmission Efficiency Project (TEP)	Support for Autonomous Higher Education Project (SAHEP)
World Bank financing (million USD)	500.00	155.00
Counterpart financing (million USD)	231.25	19.60
Total appraisal cost (million USD)	**731.25**	**174.60**

Source: Authors' compilation from World Bank (2014, 2017), project appraisal documents.



Data: Table 8 of the paper.

Two overlapping legal systems

Paper § 3.1.4 · p. 33–35

- **Domestic rules:** approval, external loans, on-lending, counterpart funds
- **Bank rules:** eligible spending, procurement, financial management, safeguards
- **Decree chain:** 38/2013 [48] → 16/2016 [49] → 56/2020 [50]; 114/2021, 20/2023 [51; 52]
- **Current:** 242/2025, effective 10 September 2025, amended by 119/2026 [53; 54]
- **ESF timing:** applies from 1 October 2018 [22]; TEP, Category B, predates it [44]



Regulatory milestones

Paper § 3.1.4 · p. 34

Table 9. Selected milestones in Vietnam's regulatory framework for ODA and concessional loans

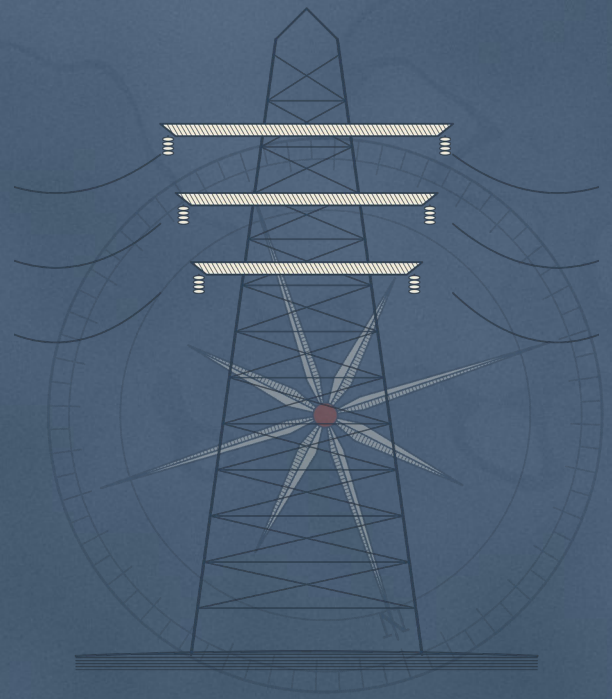
Instrument	Effective date / period	Relevance for the analysis
Decree 38/2013/ND-CP	Issued 23 April 2013	Principal ODA framework at TEP approval in 2014
Decree 16/2016/ND-CP	Effective 2 May 2016	Replaced Decree 38/2013; historical implementation period
Decree 56/2020/ND-CP	Effective 25 May 2020	Replaced Decree 16/2016; pre-2021 ODA framework
Decree 114/2021/ND-CP and Decree 20/2023/ND-CP	2021-9 September 2025	Subsequent ODA framework; superseded
Decree 242/2025/ND-CP	Effective 10 September 2025	Current principal decree as at October 2026
Decree 119/2026/ND-CP	Issued 3 Apr 2026; effective 1 Jan 2026	Amends Decree 242/2025; includes transition rules

Source: Authors' compilation from Government of Viet Nam (2013, 2016, 2020, 2021, 2023, 2025, 2026).

TEP

CASE STUDY 1: TRANSMISSION EFFICIENCY PROJECT

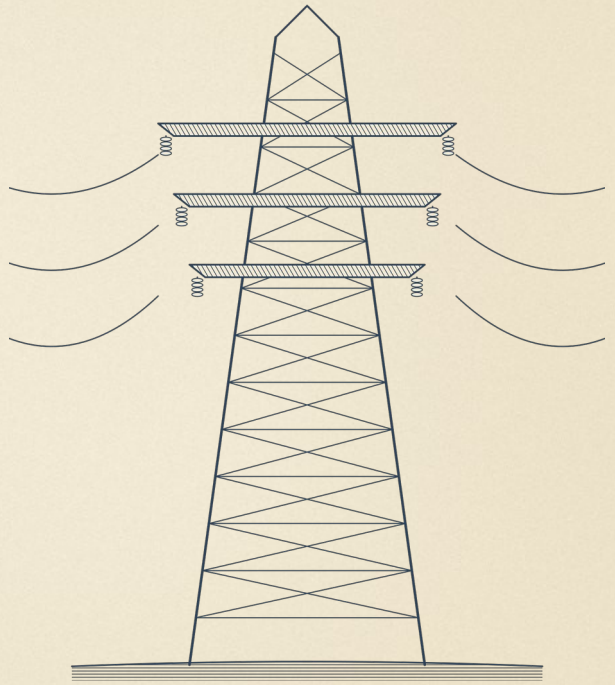
3.2 · energy sector



TEP: project overview

Paper § 3.2.1 · p. 35

- **TEP (P131558, loan 8417-VN):** approved 7 August 2014, effective 10 February 2015 [44; 41; 37]
- **Closing:** 31 December 2019 extended to 31 December 2021
- **Objective:** capacity, efficiency and reliability of transmission; financed via IPF
- **Agencies:** NPT (EVN subsidiary) through three regional project boards [44; 37]
- **Network:** 220-kV and 500-kV lines and substations in three regions [44; 37]



TEP profile and milestones (1/2)

Paper § 3.2.1 · p. 36

Table 10. TEP: basic project profile and implementation milestones

Item	Verified information
Project name / ID	Transmission Efficiency Project (TEP) / P131558
Loan number / instrument	IBRD loan 8417-VN / Investment Project Financing
Borrower / responsible agency	Socialist Republic of Viet Nam / NPT (EVN subsidiary)
Approval / effectiveness	7 August 2014 / 10 February 2015
Original / actual closing	31 December 2019 / 31 December 2021

Source: Authors' compilation from World Bank (2014, Project Data Sheet), World Bank (2022a, pp. 1-3, 49), and World Bank (2023, pp. v-vi).

TEP profile and milestones (2/2)

Paper § 3.2.1 · p. 36

Table 10. TEP: basic project profile and implementation milestones

Item	Verified information
Appraisal IBRD loan	USD 500.00 million
Appraisal borrower contribution	USD 231.25 million
Appraisal total project cost	USD 731.25 million
Actual total project cost at closing	USD 517.53 million

Source: Authors' compilation from World Bank (2014, Project Data Sheet), World Bank (2022a, pp. 1-3, 49), and World Bank (2023, pp. v-vi).

731.25
USD million total at appraisal [44; 41]

500.00
USD million IBRD loan

1.25
USD million front-end fee [44; 41]

Three components

Paper § 3.2.2 · p. 36

1 · Transmission infrastructure

Build, rehabilitate, upgrade high-voltage infrastructure [44; 42]; USD 625.00 million at appraisal [41]

2 · Smart-grid network

Monitoring, control, protection equipment; not new capacity [44; 42]; USD 80.00 million [41]

3 · Capacity building

NPT's institutional reform agenda; USD 25.00 million [41]

Cost by component (million USD)

Paper § 3.2.2 · p. 37

Table 11. TEP project cost by component at approval and at closing (million USD)

Project component	Amount at approval	Actual at closing	Actual / approval (%)
Enhancing Transmission Infrastructure	625.00	464.53	74.30
Developing Smart Grid Network	80.00	46.01	57.50
Capacity Building	25.00	5.74	22.96
Front-end fee	1.25	1.25	100.00
Total project cost	**731.25**	**517.53**	**70.77**

Source: World Bank (2022a, Annex 3, Table 3.1, p. 48). Figures transcribed from the original table; the fee row is labeled using the PAD (World Bank, 2014).

Financing by source: totals (1/2)

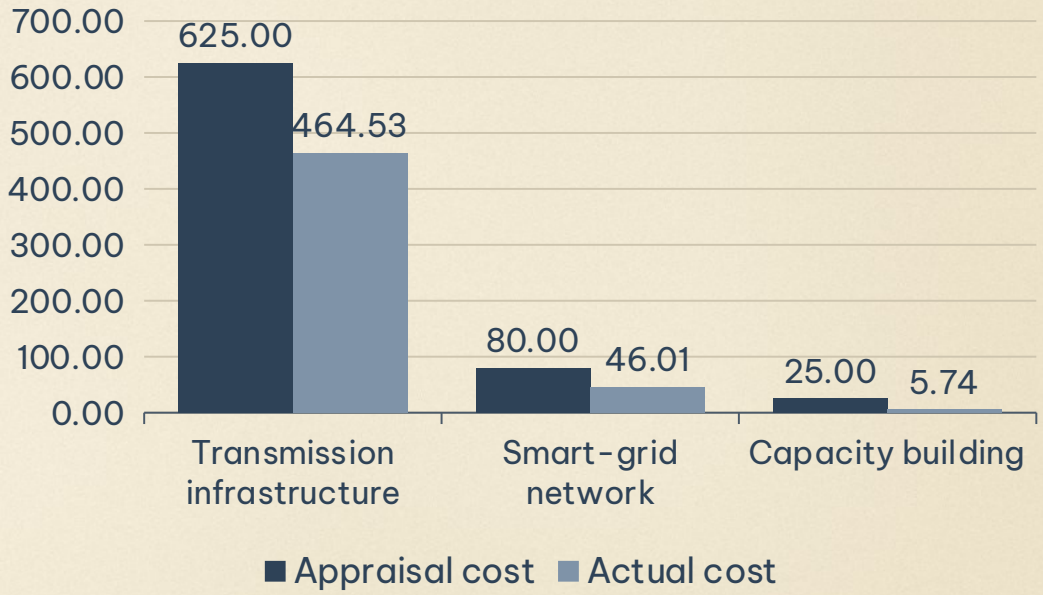
Paper § 3.2.2 · p. 37

Table 12. TEP component financing by source: appraisal versus actual (million USD)

Component	Appraisal total	Actual total
1. Transmission infrastructure	625.00	464.53
2. Smart-grid network	80.00	46.01
3. Capacity building	25.00	5.74
Front-end fee	1.25	1.25
TOTAL	**731.25**	**517.53**

Source: Adapted from World Bank (2022a, Annex 3, Table 3.2, p. 49). IBRD component allocations and actual costs are taken from the original table.

Figure 2. TEP expenditure by investment component at appraisal and at closing (million USD)



Source: Chart prepared by the authors using data from World Bank (2022a, Annex 3, Table 3.1). The USD 1.25 million front-end fee is excluded from the three component bars but included in total project costs.

Financing by source: IBRD (2/2)

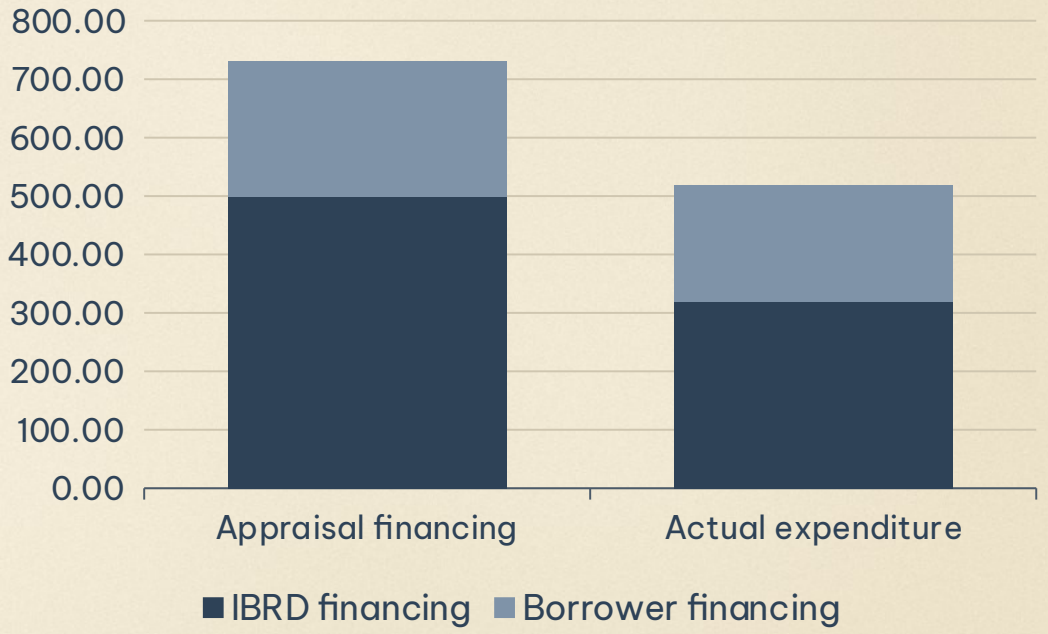
Paper § 3.2.2 · p. 37

Table 12. TEP component financing by source: appraisal versus actual (million USD)

Component	Appraisal IBRD	Actual IBRD
1. Transmission infrastructure	429.45	289.03
2. Smart-grid network	55.00	28.01
3. Capacity building	14.30	0.24
Front-end fee	1.25	1.25
TOTAL	**500.00**	**318.53**

Source: Adapted from World Bank (2022a, Annex 3, Table 3.2, p. 49). IBRD component allocations and actual costs are taken from the original table.

Figure 1. TEP financing structure: committed/appraised resources versus actual closing expenditure (million USD)



Source: Chart prepared by the authors using data from World Bank (2022a, Annex 3, Table 3.2). Actual expenditure is not equivalent to contractual loan availability.

What the closing accounts show

Paper § 3.2.2 · p. 38–39

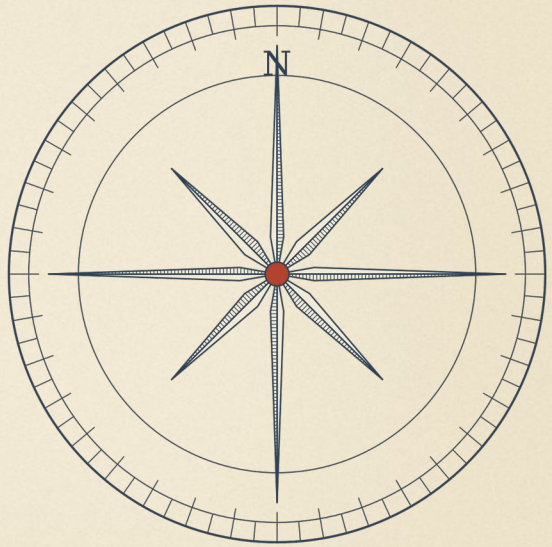
- **IBRD at closing:** USD 289.03 million transmission, USD 28.01 million smart grid [41]
- **Capacity building:** USD 5.50 of 5.74 million from the borrower; USD 0.24 million IBRD [41]
- **Disciplines:** spending tied to procurement, financial, technical and E&S rules
- **Savings:** competitive bidding under Bank guidelines [37, pp. ix–xi, 17]
- **Less flexibility:** limits on reallocating savings to additional works



Capacity building narrowed to the AMS

Paper § 3.2.3 · p. 39

- **Four strands:** AMS, cost-reflective tariffs, IFRS reporting, testing laboratory [44; 41; 37]
- **AMS:** fully operational; informs investment and maintenance decisions
- **Counterpart-funded:** tariff, IFRS, laboratory, metering [41, Annex 3; 42, pp. 2–3]
- **Cancelled:** planned upgrade of the operations and equipment information system
- **Interpretation:** a change in responsibilities, not evidence all used IBRD money



Institutional and digital workstreams

Paper § 3.2.3 · p. 39

Table 13. Selected institutional and digital systems activities under TEP

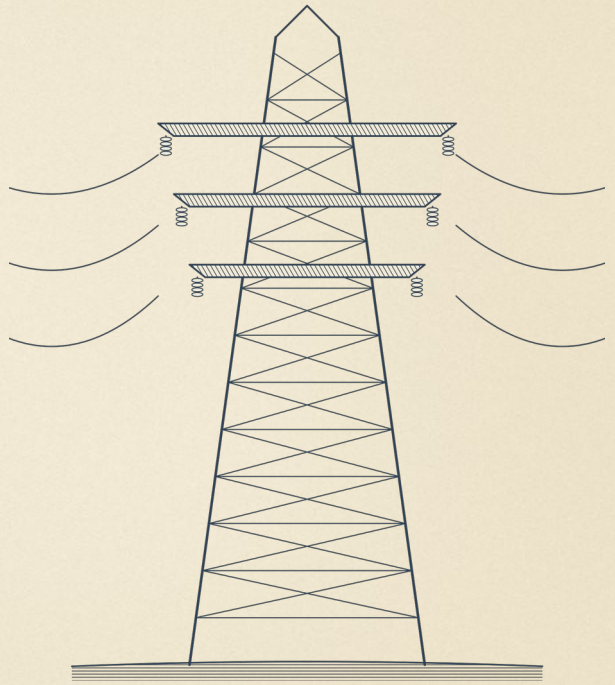
Workstream	Original purpose	Position by project closing
Asset management system (AMS)	Data-supported maintenance and capital-investment decisions	Operational; actual subcomponent cost USD 2.24 million, including USD 0.24 million IBRD
Cost-reflective transmission tariff	Support financial sustainability and tariff-related analysis	USD 0.20 million actual cost; financed by NPT/borrower
IFRS-related reporting capacity	Improve financial reporting and governance	USD 0.30 million actual cost; financed by NPT/borrower
Electrical testing laboratory	Improve capacity for specialised testing	Partial upgrade; USD 3.00 million actual cost; financed by NPT/borrower
Operation/equipment information system (Component 2)	Upgrade related digital management information system	Cancelled after existing system judged adequate

Source: Authors' synthesis of World Bank (2022a, Annex 3, Table 3.2, p. 49) and World Bank (2022b, pp. 2-3).

Learning platform and technology friction

Paper § 3.2.3 · p. 40

- **Capabilities:** procurement, contracts, finance, monitoring, safeguards [37, pp. ix–x, 15–16]
- **Mixed sources:** built partly through TEP, partly through earlier operations
- **No trainee count:** the evaluation gives none, so none is reported
- **Smart-grid friction:** technology choice, approvals and substation outages took longer
- **IEG view:** better advance preparation would have reduced the extension [37, pp. x–xi]



Physical outputs vs targets

Paper § 3.2.4 · p. 41

Table 14. TEP selected physical outputs: original target and independently reported achievement

Indicator	Target	Actual	Achieved / target
New transmission lines	920 km	981 km	106.6%
Rehabilitated transmission lines	120 km	261 km	217.5%
Additional transformer capacity	3,950 MW	4,263 MW	107.9%
500-kV smart-grid substations	5	5	100.0%
220-kV smart-grid substations	11	10	90.9%

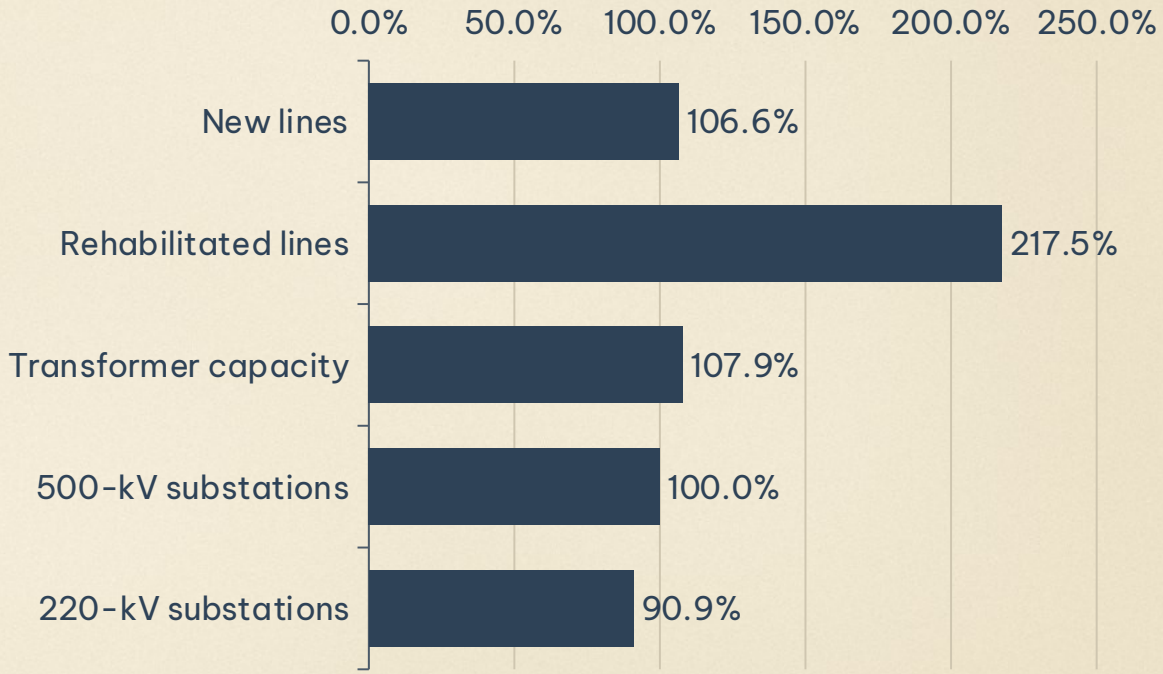
Source: World Bank (2023, pp. viii–ix, 8); achievement percentages calculated by the authors.

Output achievement (%)

Paper § 3.2.4 · p. 41

- **Lines:** 981 km new, 261 km rehabilitated [42, pp. 2–3; 37, pp. viii–ix, 8]
- **Transformers:** 4,263 MW vs 3,950 MW
- **Smart grid:** five 500-kV; 10 of 11 220-kV
- **Ninh Binh:** cancelled, substation to be dismantled

Figure 3. TEP output achievement relative to original results targets (%)

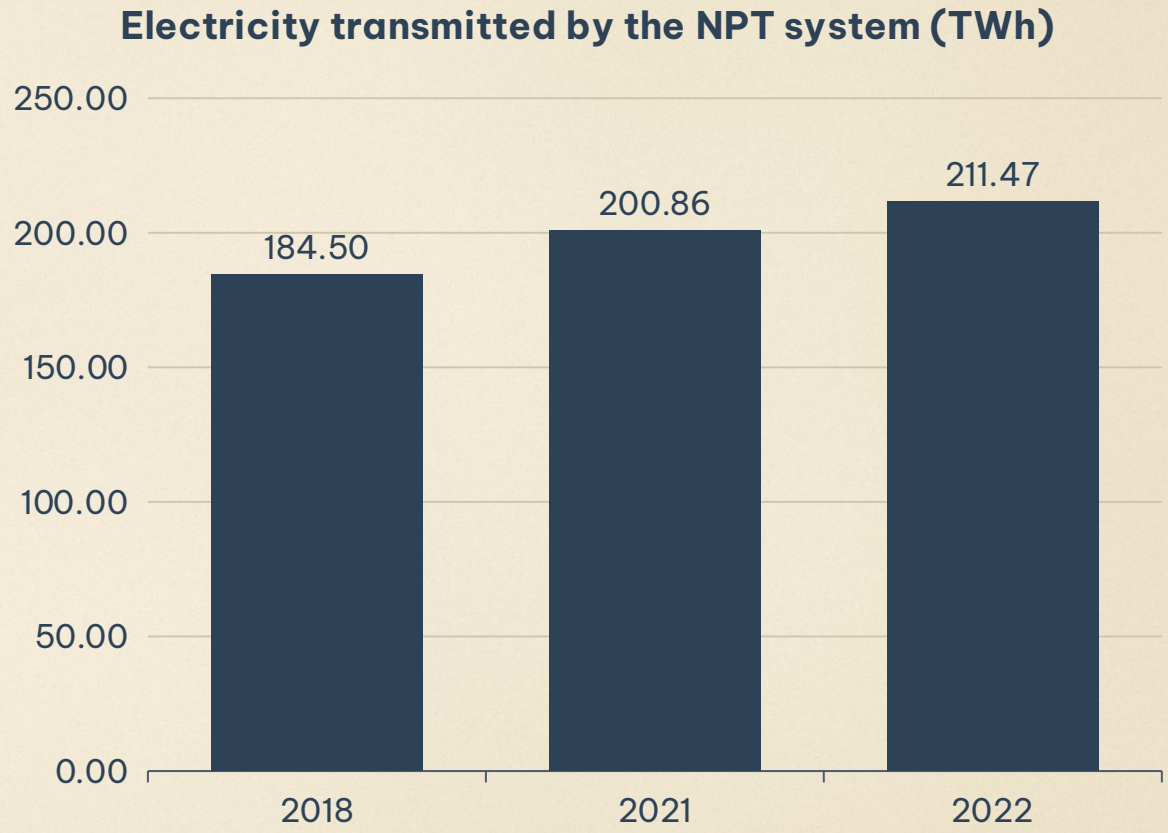


Source: Chart calculated by the authors from World Bank (2023, p. 8). A value of 100% means that the original output target was met, not that all project-wide economic benefits were realised.

Capacity and electricity transmitted

Paper § 3.2.4 · p. 42

- **Capacity:** almost +80% by closing; +85.6% by March 2023 [37, pp. viii–ix, 8–9]
- **NPT system:** 184.50, 200.86, 211.47 TWh
- **Context only:** not supplied solely because of TEP



Data: Section 3.2.4 of the paper ([37, pp. viii–ix, 8–9]). Not a measure of electricity supplied solely because of TEP.

System-level service indicators

Paper § 3.2.4 · p. 42

Table 15. Selected system-level service and efficiency indicators around TEP completion

Indicator	Earlier observation	Later observation	Interpretation / scope
O&M cost per energy transmitted	USD 0.87/MWh (baseline)	USD 0.67/MWh (2021 and 2022)	Lower unit costs; NPT-wide
Unserved energy caused by transmission failures	4,875 MWh (2012)	817 MWh (2021)	Large reduction; system indicator
Avg. interruption duration per customer	724.28 min (2018)	356.12 min (2021)	Improved reliability indicator
Avg. interruption frequency per customer	4.97 times (2018)	3.11 times (2021)	Improved reliability indicator
Transmission losses	2.34% (2015)	2.29% (2021); 2.54% (2022)	Improved by closing then worsened

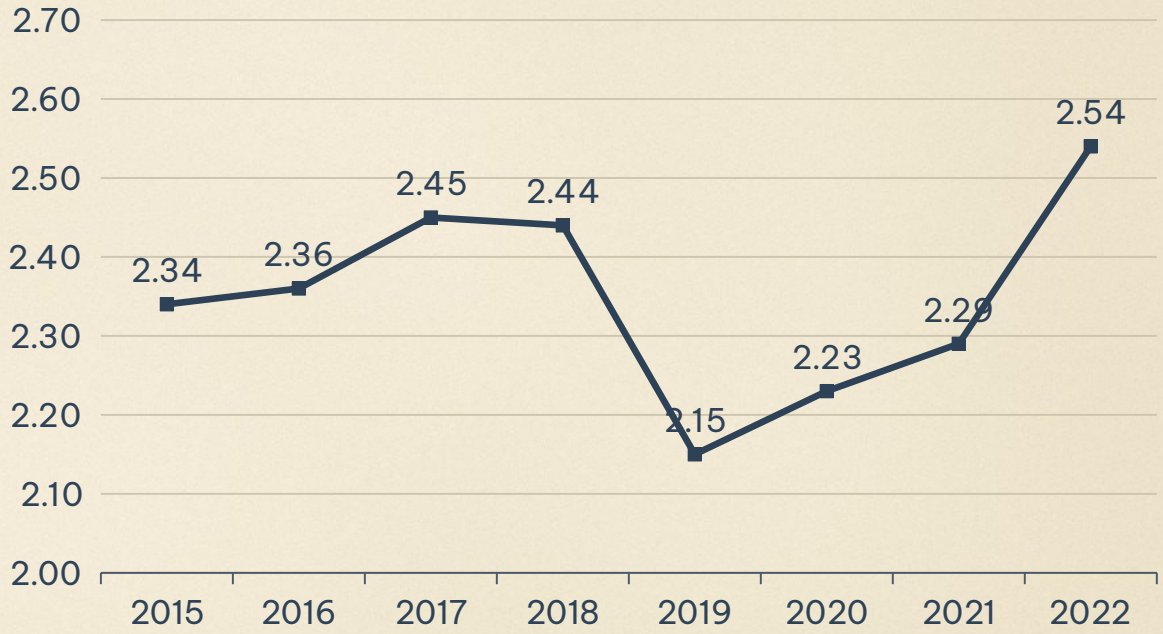
Source: Authors' compilation from World Bank (2023, pp. 9-11, Tables 2.2-2.3; underlying EVN data).

Transmission losses, 2015-2022 (%)

Paper § 3.2.4 · p. 44

- **Trend:** 2.15% (2019), 2.29% (2021), 2.54% (2022) [37, pp. 11–13]
- **Causes:** wind and solar flows, congestion, too little new investment
- **Faults:** 500-kV 42 → 29; 220-kV 135 → 159

Figure 4. Vietnam's electricity transmission loss ratio, 2015-2022 (%)

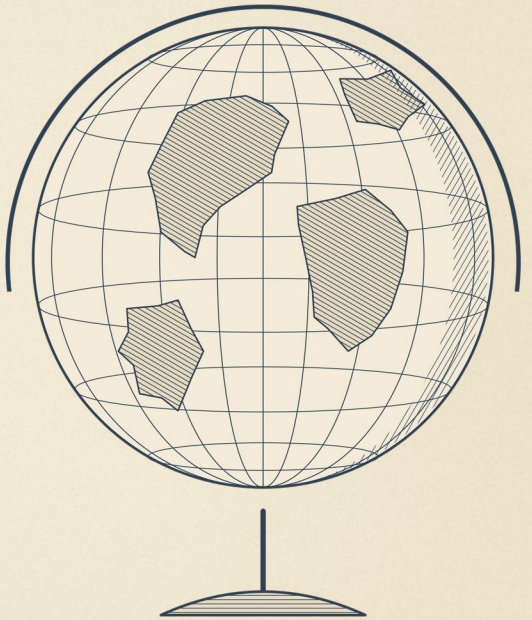


Source: Chart prepared by the authors from World Bank (2023, Table 2.3, p. 11), which cites EVN as the underlying data source. The system-wide transmission loss ratio is not a TEP-only impact estimate. The IEG executive summary reports 2.50% for 2022, whereas Table 2.3 reports 2.54%.

Renewables and economic return

Paper § 3.2.4 · p. 44

- **Renewables:** better conditions for intermittent generation [37, pp. 8–13]
- **Not quantified:** no verified extra solar or wind MWh; curtailment continued
- **EIRR:** re-estimated 52.6% vs 31.4% at appraisal [41, Annex 4]
- **ENPV:** around USD 1,089 million at a 10% discount rate
- **Model result:** not a cash return to IBRD or NPT; sensitive to assumptions



Commitment vs disbursement

Paper § 3.2.5 · p. 44–45

500.00
USD million committed

318.53
USD million disbursed (63.7%)

181.47
USD million gap (36.3%)

- **Project cost:** USD 517.53 million, USD 213.72 million below appraisal [41, Annex 3; 37, p. v]
- **Counterpart:** USD 231.25 million planned vs approximately USD 199.00 million
- **Not failure:** lower steel prices, competition, fewer activities [37, pp. x, 17]
- **Different concept:** ~USD 160 million cancelled is not the USD 181.47 million gap

Financing gap: definitions (1/2)

Paper § 3.2.5 · p. 45

Table 16. TEP financing gap: definitions and derived comparisons (million USD)

Measure	million USD	Meaning
IBRD amount committed at appraisal	500.00	Original approved financing envelope
IBRD amount actually disbursed	318.53	World Bank financing used through project closing
Commitment minus disbursement	181.47	Derived arithmetic gap: 36.3% of commitment
Loan savings reported cancelled by IEG	~160.00	Separate approximate cancellation figure in IEG assessment

Source: Authors' compilation and calculations from World Bank (2022a, Annex 3, Table 3.2) and World Bank (2023, pp. v, x, 17).

Financing gap: definitions (2/2)

Paper § 3.2.5 · p. 45

Table 16. TEP financing gap: definitions and derived comparisons (million USD)

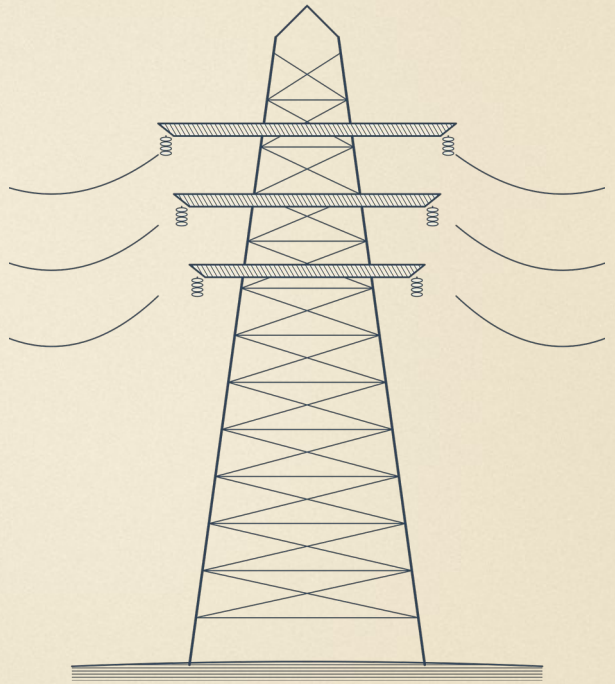
Measure	million USD	Meaning
Total project cost at appraisal	731.25	Initial budget; includes fee
Total actual project cost	517.53	Closing expenditure
Appraisal minus actual project cost	213.72	Derived reduction in overall project cost (29.2%)

Source: Authors' compilation and calculations from World Bank (2022a, Annex 3, Table 3.2) and World Bank (2023, pp. v, x, 17).

Delays, safeguards, sustainability

Paper § 3.2.5 · p. 46

- **Smart grid:** selection and approval took roughly four years [42, pp. 3, 12; 37, pp. x–xi, 17–18]
- **Two years late:** bidding, compensation and land acquisition also delayed works
- **Still highly satisfactory:** main capacity, efficiency and reliability objectives achieved
- **E&S:** about 2,500 affected households, 80 relocated [37, pp. x–xi, Appendix B]
- **Sustainability:** depends on adequate tariffs and timely investment [37, pp. 18–20]



TEP: overall assessment

Paper § 3.2.6 · p. 46

Strengths

Physical outputs; better operating indicators; lower capital costs than the appraisal budget

Weaknesses

Long smart-grid preparation; commitment–disbursement gap; counterpart-funded capacity building; sector constraints

Three conclusions from TEP

Paper § 3.2.6 · p. 47

Next: CCSEP blended IBRD and IDA with decentralized provincial implementation.

1 · Before 2017

IBRD participation existed alongside IDA; not a purely post-IDA arrangement

2 · Two measures

Evaluate approved and disbursed funds, with borrower spending shown separately

3 · Attribution

Outputs do not prove that all later system gains were caused by TEP

CCSEP

CASE STUDY 2: COASTAL CITIES SUSTAINABLE ENVIRONMENT PROJECT

3.3 · urban and environment sector



Why CCSEP was needed

Paper § 3.3.1 · p. 47

~10%
of urban wastewater treated

771
USD million a year needed

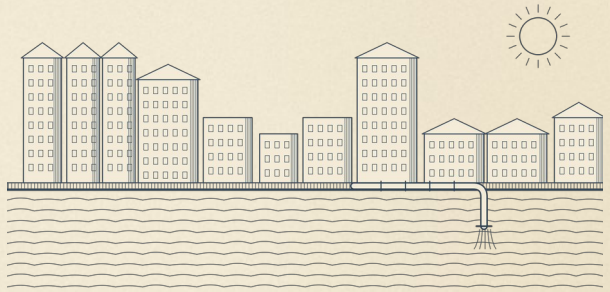
~27%
of needs covered by expected funding [33]

- **Strain:** rapid urbanization with limited resources in a lower-middle-income economy
- **Overflows:** combined drains discharged untreated wastewater onto streets and beaches
- **Response:** IBRD loan plus IDA credits gave provinces upfront investment capital

CCSEP: project overview

Paper § 3.3.1 · p. 48

- **CCSEP (P156143):** appraised April 2017 under IPF; approved 5 May 2017
- **Continuity:** follows CCESP (2007–2014); adds Phan Rang–Thap Cham
- **Dates:** signed 27 October 2017; effective 18 January 2018; closed 30 June 2024
- **Cost:** USD 273.6 million at appraisal [33; 43]
- **Implementation:** PMUs in Quang Binh, Binh Dinh, Khanh Hoa, Ninh Thuan



Planned and actual timeline

Paper § 3.3.1 · p. 48

Table 17. Planned and actual project implementation timeline

Milestone	Planned	Actual
Approval	5/5/2017	5/5/2017
Agreement signing	-	27/10/2017
Effectiveness date	3/8/2017	18/1/2018
Implementation start	5/5/2017	18/1/2018
Implementation end	30/6/2022	-
Loan closing	31/12/2022	30/6/2024

Source: projects.worldbank.org

Objective and key indicators

Paper § 3.3.1 · p. 48

290,000
direct beneficiaries

256,000
people with sewer connections

100%
service cost recovery [33]

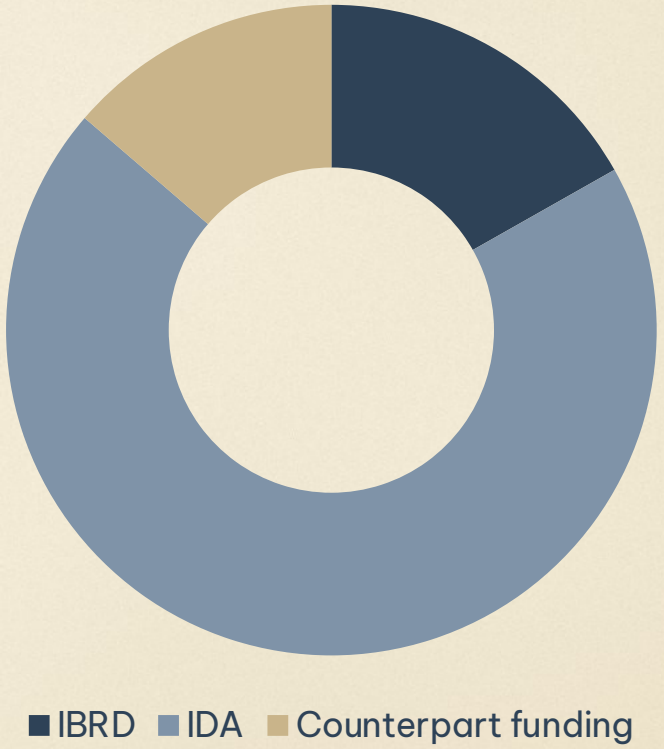
- **PDO:** access to sanitation and operational efficiency of service providers in four cities
- **Investments:** flood control, wastewater, solid waste, urban connectivity
- **Reforms:** Decree No. 80/2014/ND-CP [56]: service contracts and tariff roadmaps

A blended financing package

Paper § 3.3.2 · p. 49

- **Total:** USD 273.6 million [33, Data Sheet, para. 43]
- **Shares:** World Bank 86.3%, counterpart 13.7%
- **Blend:** IBRD USD 46 million, IDA USD 190.2 million [33, para. 66]
- **Why:** blend terms before IDA graduation [33, paras. 1, 44]

Figure 5. Project financing structure as planned at appraisal



Source: projects.worldbank.org

Two sources, two sets of terms

Paper § 3.3.2 · p. 49

Terms as stated in the PAD [33, para. 44].

IBRD loan

USD; floating rate then based on LIBOR; 29 years incl. 10-year grace; equal principal repayments

IDA credit

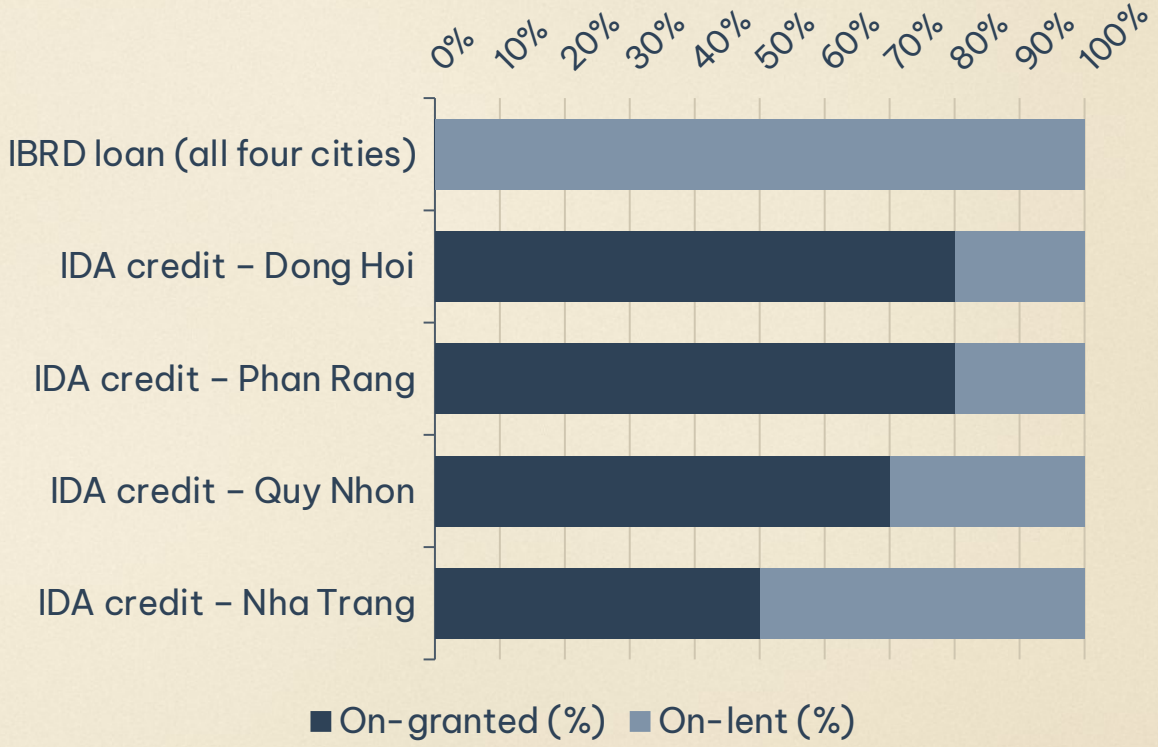
SDR; 25 years incl. 5-year grace; 2% a year (0.75% + 1.25%); 0.5% commitment fee; no front-end fee

On-granting vs on-lending

Paper § 3.3.2 · p. 49

- **IDA on-granted:** 80%, 80%, 70%, 50% by city [33, para. 45]
- **Overall:** 49.1% on-granted, 37.2% on-lent [33, Annex 5, Table 5.1]
- **Debt:** about USD 101.8 million on-lent; Binh Dinh projected to slightly exceed its ceiling [33, paras. 66, 75–76, Annex 5]

Figure 6. Share of on-granting and on-lending by financing source



Source: projects.worldbank.org

Four components

Paper § 3.3.2 · p. 50

IBRD fully financed Component 2 [33, para. 34, Annex 2 Table 2.1, Annex 5 Table 5.2].

1 · Sanitation (USD 140.7 million)

Flood control, drainage, treatment plants, connections, solid waste [33, para. 31]

2 · Urban connectivity (USD 31.2 million)

Over 7 km of roads and 5 bridges along canals and rivers [33, paras. 20, 33]

3 · Compensation, site clearance (USD 25.1 million)

Land acquisition and resettlement costs [33, para. 34]

4 · Support and reform (USD 11.7 million)

PMU capacity; Decree 80/2014/ND-CP reforms [33, para. 35]

Components by source (1/2)

Paper § 3.3.2 · p. 51

Table 18. Project components and financing sources (base cost, million USD)

Component	Total	IDA
1. Sanitation Infrastructure Expansion	140,7	140,7
2. Urban Connectivity Improvement	31,2	-
3. Compensation and Site Clearance	25,1	3,4
4. Implementation Support and Institutional Reform	11,7	-
Total Base Cost	**208,7**	**144,1**

Source: projects.worldbank.org

Components by source (2/2)

Paper § 3.3.2 · p. 51

Table 18. Project components and financing sources (base cost, million USD)

Component	IBRD	Counterpart funding
1. Sanitation Infrastructure Expansion	-	-
2. Urban Connectivity Improvement	31,2	-
3. Compensation and Site Clearance	-	21,7
4. Implementation Support and Institutional Reform	-	11,7
Total Base Cost	**31,2**	**33,4**

Source: projects.worldbank.org

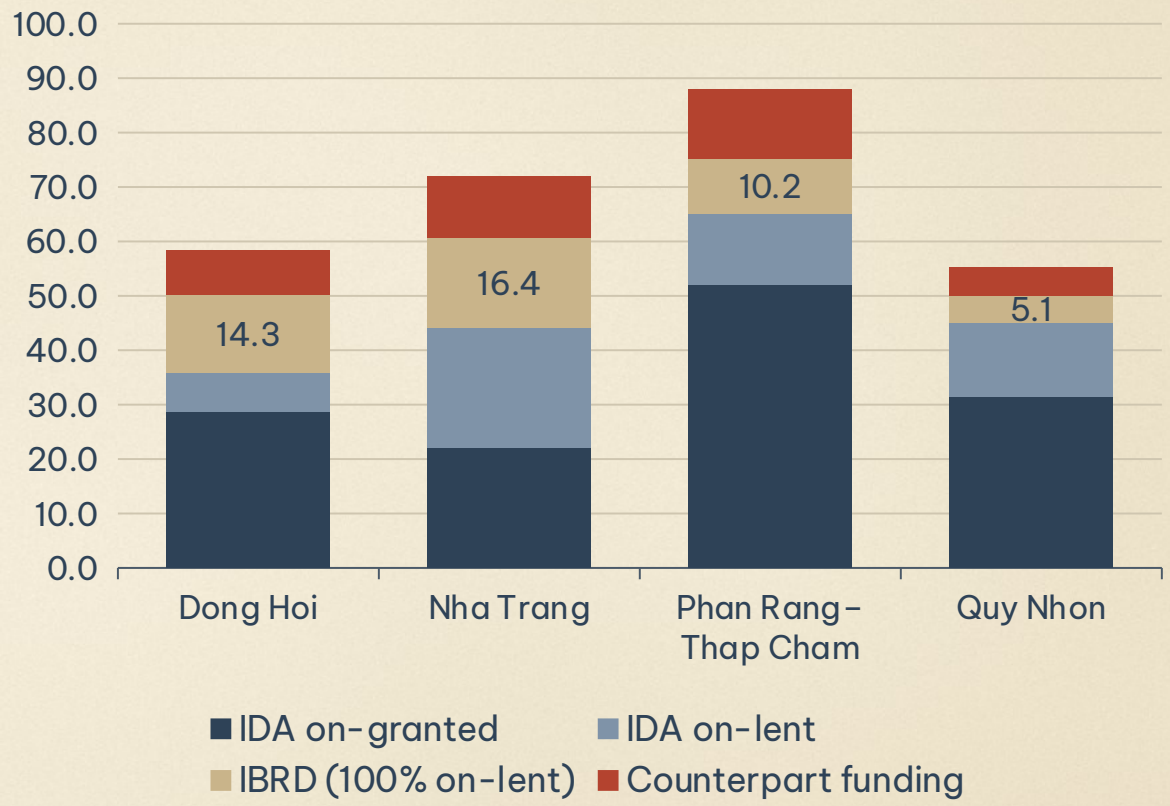
Note: The table shows base costs only. The difference from the total project cost comes from contingencies (USD 37.9 million), VAT (USD 22.3 million), and capitalized fees and interest (USD 4.8 million), which are also financed by the three sources. This is why the IBRD total is USD 46.0 million, against USD 31.2 million of base cost for Component 2 (World Bank, 2017, Annex 2, Table 2.1). Minor differences in totals are due to rounding in the PAD.

Funding by city as planned

Paper § 3.3.2 · p. 51

- **Largest:** Phan Rang–Thap Cham 87.9 [33, Annex 2, Tables 2.2–2.5]
- **New locality:** own resettlement site [33, paras. 34, 63]
- **IBRD:** Nha Trang 16.4, Dong Hoi 14.3 [33, para. 46, Table 1]

Figure 7. Sources of funding by city (million USD)



Source: projects.worldbank.org

Decentralized disbursement

Paper § 3.3.2 · p. 52

- **Accounts:** a designated USD account per province [33, Annex 3, para. 21]
- **Methods:** advances, reimbursements, special commitments, direct payments [33, Annex 3, para. 22]
- **100% financing:** eligible goods, works, consulting, incl. taxes [33, Annex 3, para. 24]
- **Three conditions:** on-lending, counterpart and tariff approvals [33, Data Sheet, para. 62]



Plan vs adjusted: amounts (1/2)

Paper § 3.3.2 · p. 52

23 November 2022: USD 11.8 million IBRD and about USD 34 million IDA cancelled [43].

Table 19. Funding structure: plan vs. adjusted (million USD)

Funding source	Appraisal amount	Adjusted amount	Difference
Total WB financing	236,2	190,6	45,6
IBRD	46	34,2	11,8
IDA	190,2	156,4	33,8
Counterpart funding	37,4	50	-12,6
Total project cost	**273,6**	**240,6**	**33**

Source: projects.worldbank.org

Plan vs adjusted: shares (2/2)

Paper § 3.3.2 · p. 52

Table 19. Funding structure: plan vs. adjusted (million USD)

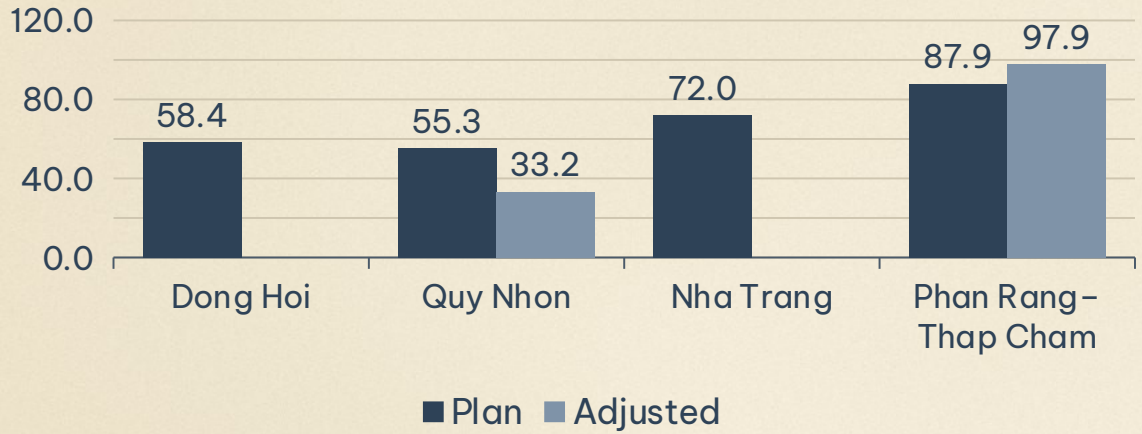
Funding source	Appraisal share	Adjusted share
Total WB financing	86,33%	79,22%
IBRD	16,81%	14,21%
IDA	69,52%	65,00%
Counterpart funding	13,67%	20,78%
Total project cost	**100,00%**	**100,00%**

Source: projects.worldbank.org

Adjusted commitments by city

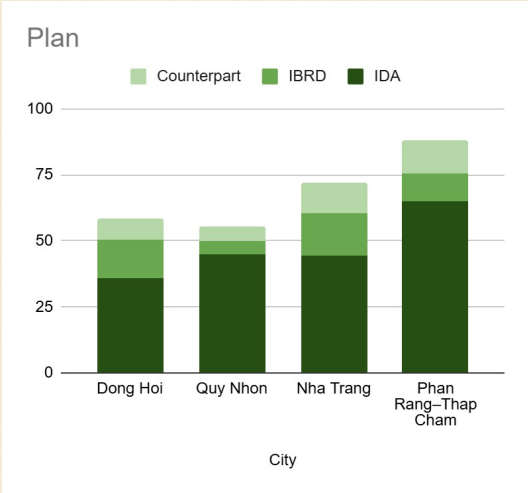
Paper § 3.3.2 · p. 53

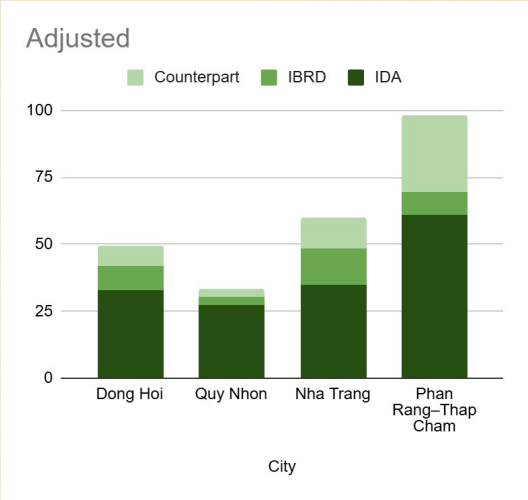
Figure 8. Total funding by city: plan vs. adjusted (million USD)



Source: projects.worldbank.org Adjusted values for Dong Hoi and Nha Trang are not stated in the paper's text.

Figure 8 (original image from the paper, unlabeled bars)



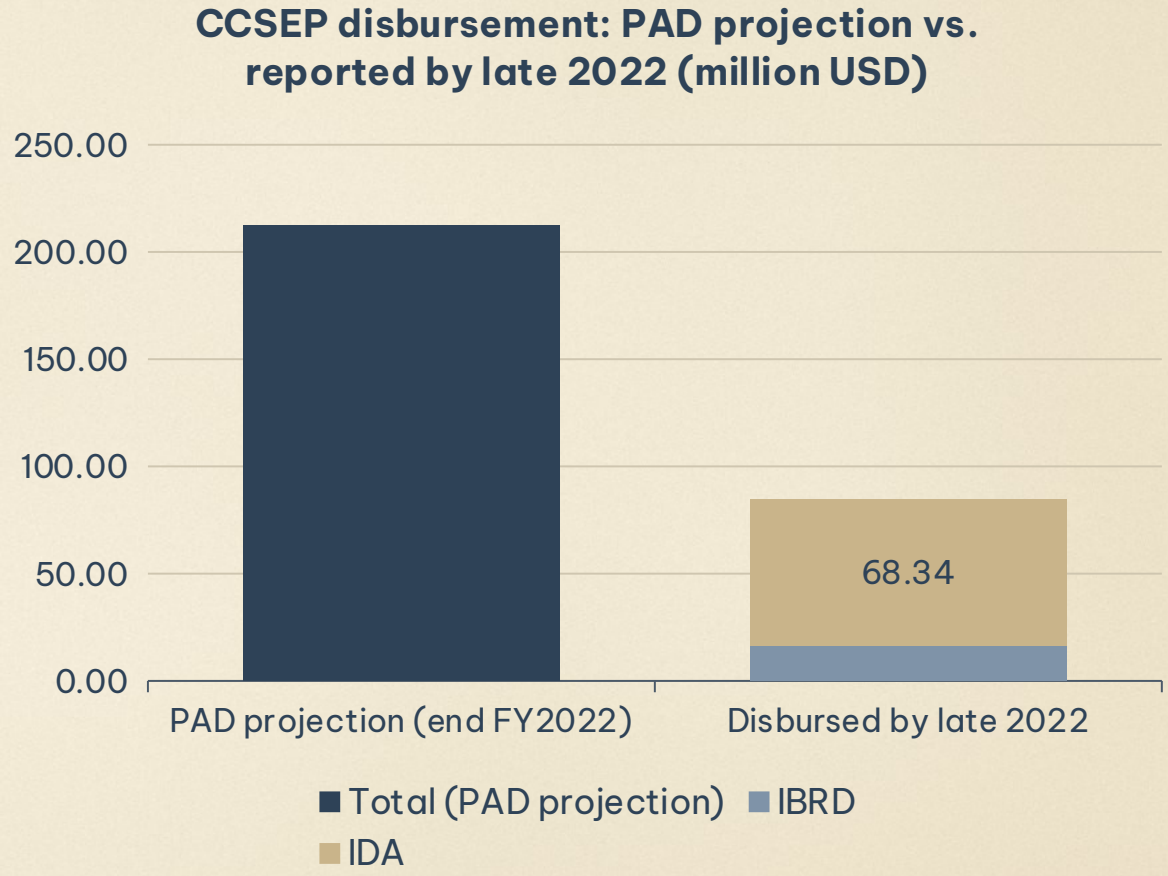


- **Totals:** loans 236.2 → 190.6; cost 273.6 → 240.6; counterpart 37.4 → 50.0 [33, Annex 2; 43]
- **Cities:** Quy Nhon 55.3 → 33.2; Phan Rang 87.9 → 97.9

Slow start, slow disbursement

Paper § 3.3.3 · p. 54

- **Late start:** effective 18 January 2018, not 3 August 2017 [33; 55; 43]
- **Disbursed:** IBRD 16.47, IDA 68.34; about 36%
- **Root cause:** counterpart budgets only from July 2019
- **Execution:** works about 45% of USD 160.9 million contracts [43]



Data: Section 3.3.3 of the paper ([33; 55; 43]).

Timeline (Table 20)

Paper § 3.3.3 · p. 55

Table 20. Planned and actual project implementation timeline

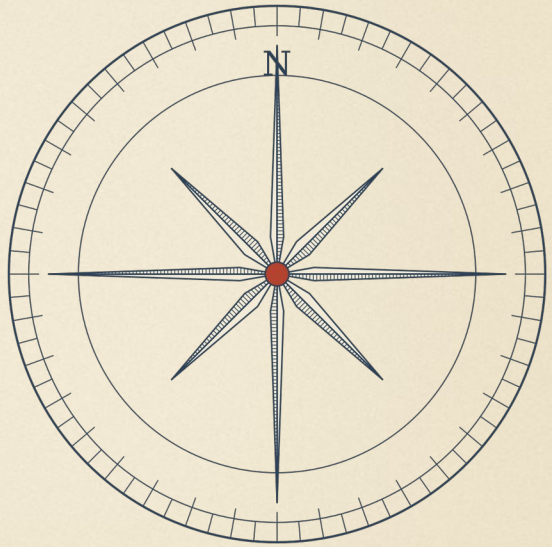
Milestone	Planned	Actual
Approval	5/5/2017	5/5/2017
Agreement signing	-	27/10/2017
Effectiveness date	3/8/2017	18/1/2018
Implementation start	5/5/2017	18/1/2018
Implementation end	30/6/2022	-
Loan closing	31/12/2022	30/6/2024

Source: projects.worldbank.org

Technical support and delay factors

Paper § 3.3.3 · p. 54

- **Safeguards:** Category A; OP 4.12 and Bank procurement guidelines [33]
- **Ratings, end-2022:** progress Moderately Satisfactory; PDO likelihood Moderately Unsatisfactory
- **Fiduciary:** all Moderately Satisfactory; legal covenants fully complied with [43]
- **Delays:** site clearance, weak contractors, 2020 storms, COVID-19, weak contract management



Resettlement: the main bottleneck

Paper § 3.3.3 · p. 55

1,486
affected households (PAD), 329 to relocate [33]

160 / 585
Nha Trang plans approved

1,400 / 1,586
Phan Rang plans approved [43]

- **Nha Trang:** a third of approved plans rejected; most Component 2 contracts halted
- **Cancelled:** NT-2.1 partially, NT-2.2 completely; affected households about 35% fewer
- **Elsewhere:** Dong Hoi and Quy Nhon largely completed resettlement [43]

Key indicators at 31/10/2022

Paper § 3.3.3 · p. 56

Table 21. Progress on key performance indicators as of 31/10/2022

Indicator	Target (PAD)	Actual	Ratio
Direct beneficiaries	290.000	185.559	64%
People with access to sewer connections	256.000	97.400	38%
Cost recovery level	100%	98%	98%
Roads (km)	22	4,38	20%
Bridges	5	3	60%

Source: projects.worldbank.org

Training and institutional reform

Paper § 3.3.3 · p. 55–56

- **PMUs:** inherited from CCESP; Phan Rang new, 10 of 12 staff from water-sector ODA units
- **Support:** training, audit teams, manuals; PPIAF (USD 350,000) and GIZ [33]
- **Targets:** 14 service contracts, 4 tariff roadmaps, 4 connection policies [33]
- **Bank advice:** more qualified staff, coordination, supervision, monthly meetings [43]
- **Outcome:** PSMUs set up; most service contracts unexecuted except Nha Trang plant



Same bottleneck for all three forms

Paper § 3.3.3 · p. 56

36%
of original loan capital disbursed by late 2022

45.6
USD million cancelled

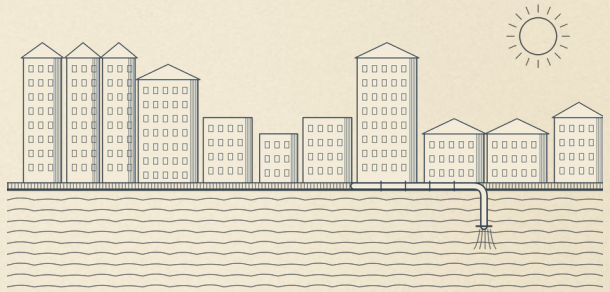
16.8%
IBRD share of plan (14.2% adjusted)

- **Funds idle:** World Bank money available, counterpart funding late
- **Limited IBRD weight:** fully financed Component 2; IDA financed sanitation [33, Annex 2, Table 2.1; 43]
- **Scope cut:** Nha Trang scaled back; 18-month extension needed

Results so far

Paper § 3.3.4 · p. 57

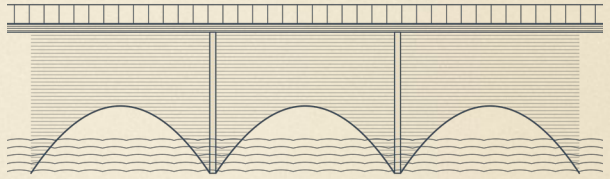
- **No ICR yet:** figures as of 31 October 2022, plus Inspection Panel milestones 2023–2025
- **Indicators:** beneficiaries 64%, sewer access 38%, cost recovery 98% [33; 43]
- **Works:** Dong Hoi and Quy Nhon largely complete; Nha Trang, Phan Rang incomplete
- **Disbursement:** 57.43% in August 2023 [57, paras. 6, 55]; base may differ from 36%



Climate resilience and institutions

Paper § 3.3.4 · p. 57

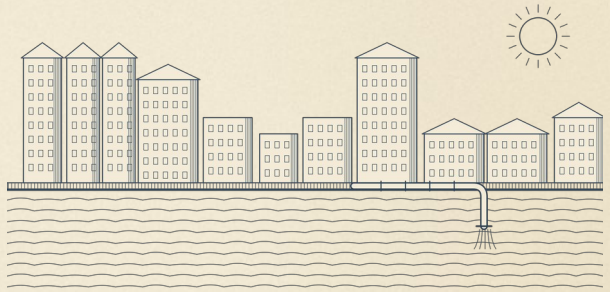
- **Targets:** about 44,000 people, 17 km embankments, 22 km roads, 5 bridges [33]
- **Done:** 4.38 km of roads and 3 bridges; other figures not yet public
- **Institutions:** PSMUs, asset handovers, connection policies, tariff roadmaps [43]
- **Exception:** Nha Trang plant already under a performance-based contract
- **38% coverage:** benefits need networks and household connections



Nha Trang: resettlement bottleneck

Paper § 3.3.4 · p. 58

- **Plans:** only 160 of 585 approved; two packages cancelled [57, executive summary, paras. 10, 29]
- **Affected:** about 464 households, per Management Response [57, executive summary]
- **Land:** about 5 ha not acquired; 6 ha in 2018; 2.5 ha in 2021 [57, paras. 11, 63]
- **Management:** "technical reasons"; PDO not affected [57, paras. 49, 59]



From bottleneck to formal complaint

Paper § 3.3.4 · p. 58

June 2023

19 of 222 plans non-compliant; eighteen on low land prices [57, paras. 37, 40, 41]

27 August 2023

31 Ngoc Hiep residents file request; allegations, not conclusions [57, paras. 13, 17, 19, 23]

Late August 2023

Compensation plan for the 5 ha area revoked [57, paras. 37, 40, 41]

5 February 2024

Board approves the investigation [58]

2 March 2025

Confidential memorandum signed [58]

7 August 2025

Dispute resolution ends without agreement; case back to the Panel [58]

Three direct causes

Paper § 3.3.4 · p. 59

Resettlement was a precondition for the drainage infrastructure, not an auxiliary component [43].

Land prices

Disagreements led one-third of approved plans to be rejected

Restrictions since 2016

Land-use limits without completed acquisition prolonged waiting

Weak PMU capacity

Poor coordination delayed compensation and contracts

Achievements

Paper § 3.4.1 · p. 59

Financial mobilization

TEP USD 500 million, 26-year maturity, 10-year grace [21]; CCSEP 29 years [33]; lower costs [37]

Technical standards

Smart grid in five 500-kV, ten 220-kV substations; 4,263 MW; O&M USD 0.87 → 0.67 [37]

Management standards

Procurement and safeguard skills; NPT asset management system; CCSEP cost recovery 98% [43]

Limitations

Paper § 3.4.2 · p. 60

Slow disbursement

TEP 63.7% [41]; CCSEP nothing in 2017 and 2018, about 36% by late 2022 [43]

Procedural complexity

TEP smart grid about four years [37]; CCSEP effective five and a half months late [33]

Counterpart funding

CCSEP allocations from July 2019 [43]; TEP: USD 5.50 million of USD 5.74 million [41]; Binh Dinh [33]

Safeguard gaps

Nha Trang 160 of 585 plans, complaint [43; 57]; TEP about 2,500 households [37]

Recommendations (1/2)

Paper § 3.4.3 · p. 60–61

As an upper-middle-income economy, future borrowing will rely on IBRD terms [4].

1 · Prepare fully

Settle technology, approvals, land before signing [37]; use a Project Preparation Advance

2 · Secure counterpart funds

In the medium-term investment plan at approval; check provincial debt capacity

3 · Align compensation

Meet ESS5 from preparation; independent valuation; early consultation

Recommendations (2/2)

Paper § 3.4.3 · p. 61

4 · Stabilize PMUs

Professional PMUs across projects; Open Learning Campus training

5 · Streamline procedures

Decree No. 242/2025/ND-CP steps matched to the Bank cycle [53]

6 · Choose instruments

PforR or DPF for measurable reforms; RAS for advice [36]

CONCLUSION.



CONCLUSION

Findings, significance, limitations, further research

CONCLUSION

Three pillars, one package

Paper § Conclusion · 1.1 · p. 62

AAA-rated market funding lent on long maturities through IPF, DPF and PforR.

Finance

Pays for investment through the project cycle and disbursement methods

Technical support

Improves project design, policy and monitoring

Training

Strengthens the people and institutions that carry out projects

CONCLUSION

What the two cases show

Paper § Conclusion · 1.2 · p. 62

Binding constraints lay mainly on the domestic side, not in the availability of IBRD money.

TEP

Outputs above targets, lower operating costs, highly satisfactory; but disbursed far less than committed

CCSEP

Late counterpart funds, weak PMUs, resettlement disputes; cancelled funds, formal complaint

CONCLUSION

Significance and limitations

Paper § Conclusion · 2 · 3 · p. 62–63

Significance

One framework applied to two projects; planned vs actual, IBRD vs IDA and counterpart funds

Limitations

Secondary data; many sources prepared by the World Bank; no CCSEP completion report; two cases; system-wide indicators

CONCLUSION

Directions for further research

Paper § Conclusion · 4 · p. 63

Update CCSEP

Once its completion report is published

Post-IDA projects

Binh Duong water environment project and the southern waterway program

Other lenders

Compare IBRD lending with the Asian Development Bank

Quantify delays

Cost of counterpart and land delays in commitment fees and lost time

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[1] WB 2011	[2] WB 2009	[3] WBG 2019	[4] VN News 2026	[5] WB 2024	[6] WB 2024	[7] IBRD 2026	[8] WBG n.d.	[9] WBG Archives n.d.	[10] WB n.d.
[11] WB 2026	[12] WB 2018	[13] WB Treasury 2025	[14] Wes 2023	[15] Gelb 2016	[16] WB Treasury n.d.	[17] WB Treasury 2020	[18] WB 2014	[19] IBRD 2025	[20] WB Treasury n.d.
[21] WB 2014	[22] WB n.d.	[23] WB n.d.	[24] WB 2020	[25] WB n.d.	[26] WB 2006	[27] WB 2017	[28] WB 2011	[29] WB 2011	[30] DTiNews 2011
[31] WB 2010	[32] IEG n.d.	[33] WB 2017	[34] WB n.d.	[35] ADB 2024	[36] WB n.d.	[37] IEG 2023	[38] WB n.d.	[39] WB 2015	[40] WB n.d.
[41] WB 2022	[42] IEG 2022	[43] WB 2022	[44] WB 2014	[45] Baird 2011	[46] WB 2013	[47] WB 2017	[48] Gov. VN 2013	[49] Gov. VN 2016	[50] Gov. VN 2020
[51] Gov. VN 2021	[52] Gov. VN 2023	[53] Gov. VN 2025	[54] Gov. VN 2026	[55] WB 2020	[56] Gov. VN 2014	[57] Insp. Panel 2024	[58] WB Acc. 2025		

Credits

Content: Group 6, “IBRD and its Development Project Financing Activities in Vietnam” (Project Finance, NEU, Investment Economics 65). All figures, names and citations are taken from the paper.

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